2026 Mitsui Fundamentals e-Learning Finance

Contents

Note: If there is a glossary or attachment, it is included at the end of the chapter.

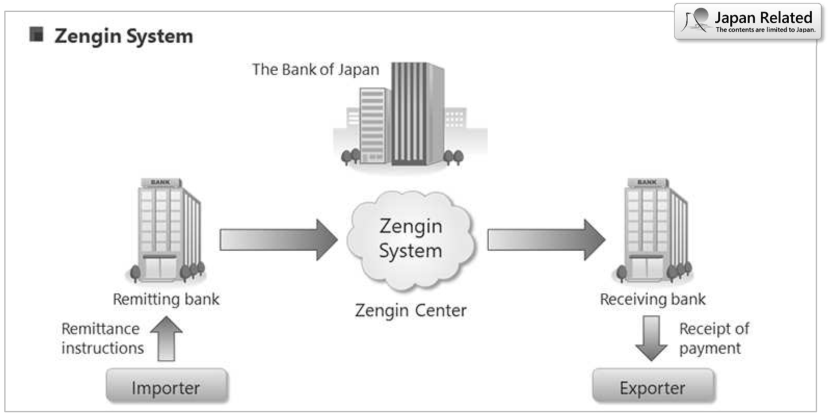
1. Fund Settlement

1.1) Domestic Exchange

In this section, we will explain about fund settlement.
We will look at the following five categories:

1. Domestic Exchange
2. Foreign Exchange
3. Risks Involved in Trading
4. Type and Method of Settlement
5. Foreign Exchange Law of Japan

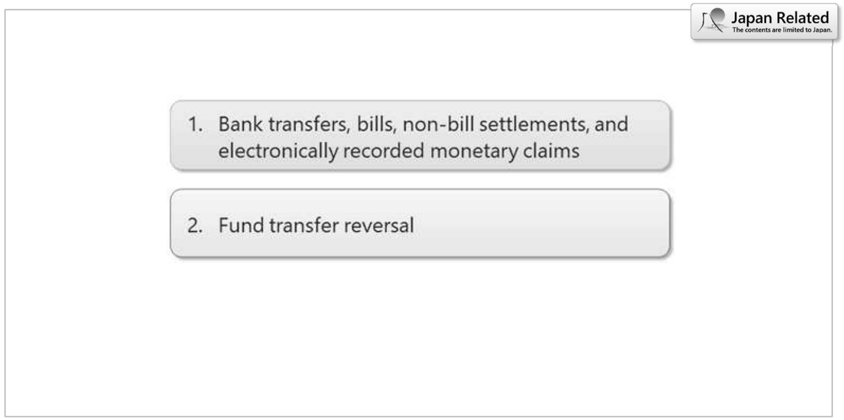
First, let's look at domestic exchange.



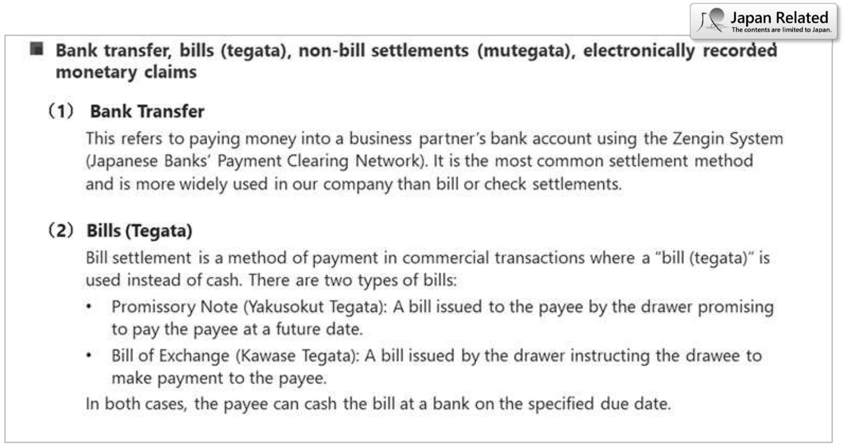
Exchange refers to a method of settling debts/credits between two parties located in different places, without the physical transportation of cash. In domestic transactions, settlement is carried out using bank transfers, checks, or bills called "tegata", and this settlement is called "domestic exchange."

The core system responsible for exchange operations in Japan, i.e., domestic exchange operations, is the Zengin System. In the Zengin System, data related to exchange transactions is transmitted and received, and interbank loans and borrowings are offset.
In other words, settlement differences are settled using the accounts that each bank holds at the Bank of Japan.

Since banks have current accounts at the Bank of Japan, settlements can be made by depositing into or withdrawing from those accounts.



First, I will explain bank transfers, bills (tegata), non-bill settlements (mutegata), and electronically recorded monetary claims (Denshi kiroku saiken).



(1) Bank Transfer

This refers to paying money into a business partner's bank account using the Zengin System (Japanese Banks' Payment Clearing Network). It is the most common settlement method and is more widely used in our company than bill or check settlements.

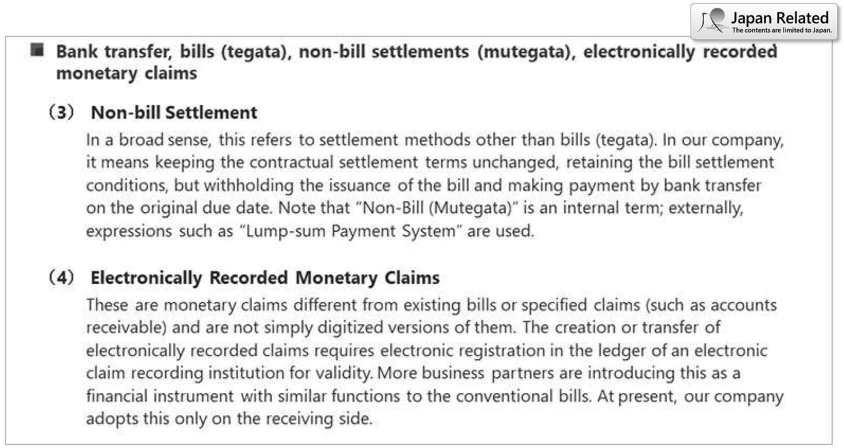
(2) Bills (Tegata)

Bill settlement is a method of payment in commercial transactions where a "bill (tegata)" is used instead of cash. There are two types of bills:

- Promissory Note (Yakusoku Tegata): A bill issued to the payee by the drawer promising to pay the payee at a future date.
- Bill of Exchange (Kawase Tegata): A bill issued by the drawer instructing the drawee to make payment to the payee.

In both cases, the payee can cash the bill at a bank on the specified due date.

When a bill or check is refused for payment for any reason and cannot be converted into funds, this is called "dishonor (fuwatari)."

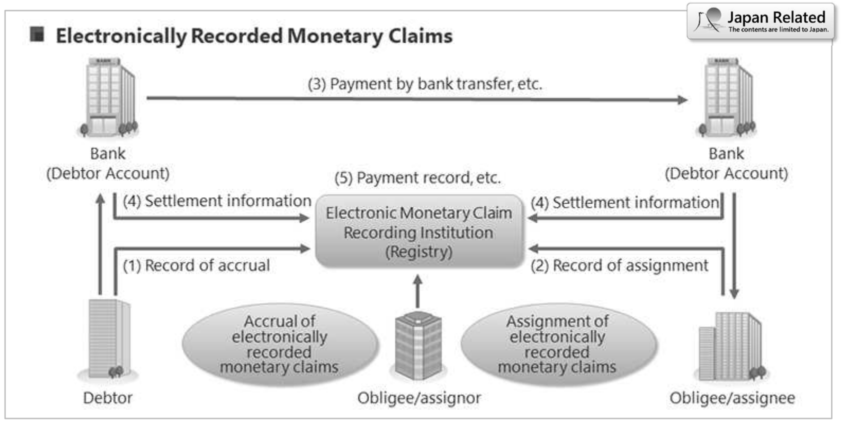


(3) Non-bill Settlement

In a broad sense, this refers to settlement methods other than bills (tegata). In our company, it means keeping the contractual settlement terms unchanged, retaining the bill settlement conditions, but withholding the issuance of the bill and making payment by bank transfer on the original due date. Note that "Non-Bill (Mutegata)" is an internal term; externally, expressions such as "Lump-sum Payment System" are used.

(4) Electronically Recorded Monetary Claims

These are monetary claims different from existing bills or specified claims (such as accounts receivable) and are not simply digitized versions of them. The creation or transfer of electronically recorded claims requires electronic registration in the ledger of an electronic claim recording institution for validity. More business partners are introducing this as a financial instrument with similar functions to the conventional bills. At present, our company uses this financial instrument only on the receiving side.



Explanation of Transactions Involving Electronically Recorded Monetary Claims

(1) and (2): Accrual and Assignment of Electronically Recorded Monetary Claims

By submitting a request for a "record of accrual" or "record of assignment" to an electronic monetary claim recording institution, and having the institution enter such a record in its official ledger, it becomes possible to accrue or assign the claim.

(3), (4), and (5): Extinguishment of Electronically Recorded Monetary Claims

When settlement is made by transferring funds from the debtor's account to the creditor's account through a financial institution, the electronically recorded monetary claim is extinguished. The electronic monetary claim recording institution then makes a "record of payment, etc." upon receiving notification from the financial institution.

Moreover, as a system comparable to the dishonor of bills (fuwatari), the "Payment Default Disposition System" has been established by Densai.net Co., Ltd. (commonly known as "Densai Net") to ensure transaction safety.

If Densai payment is not made by interbank transfer settlement on the due date, all participating financial institutions are notified that the debtor has incurred a payment default and the reason for it. Furthermore, if the same debtor incurs two payment defaults within six months, the debtor will be subject to a suspension of transactions.

Japan Related
The contents are limited to Japan.

■ Bank transfer, bills (tegata), non-bill settlement (mutegata), and electronically recorded monetary claims

Benefits of shifting from tegata to other methods

Creditors

(1) Can simplify administrative work such as collection of tegata.
(2) Can avoid loss and theft when delivering or keeping tegata.
(3) Can save on stamp duties by omitting issuance of receipts.
(4) Can utilize funds on their due date.

Debtors

(1) Can omit administrative work such as preparing tegata.
(2) Can avoid loss and theft when delivering or keeping tegata.
(3) Can save on stamp duties by omitting issuance of receipts.

However, we have to pay careful attention to credit control management regarding counterparties when Mitsui receives a payment of a bank transfer or implements mutegata.

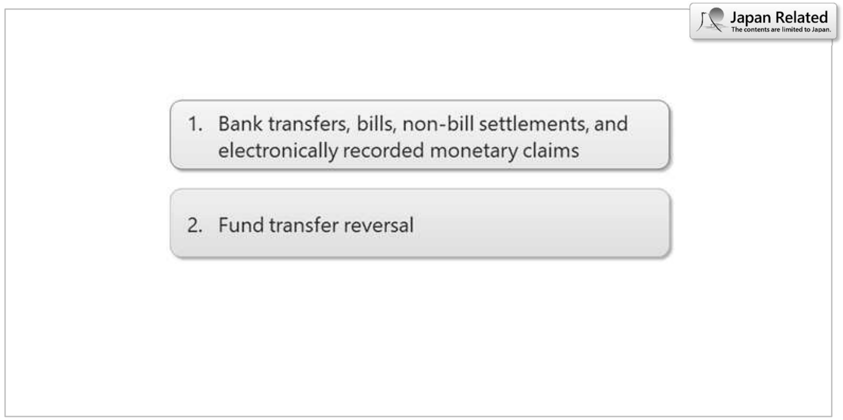
The government has indicated a policy to fully digitize promissory notes (yakusoku tegata) by 2026, and the financial sector is promoting the transition from paper-based notes to electronic payment services by the end of the fiscal year ending March 2026.

This section explains the main benefits for creditors and debtors when shifting from traditional tegata to other methods.

From the creditor perspective, creditors can simplify administrative work, such as collection of tegata, avoid loss and theft when delivering or keeping tegata, save on stamp duties by omitting issuance of receipts, and utilize funds on their due date.

From the debtor perspective, debtors can omit administrative work, such as preparing tegata, avoid loss and theft when delivering or keeping tegata, and save on stamp duties by omitting issuance of receipts.

However, we have to pay careful attention to credit control management regarding counterparties when Mitsui receives a payment of a bank transfer or implements mutegata.



Finally, in the section of Domestic Exchange, we will explain “Kumimodoshi” (fund transfer reversal).

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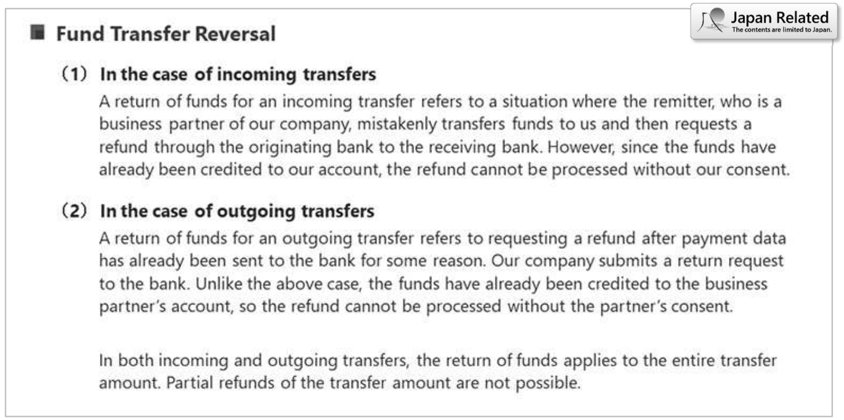


Here, let’s look at fund transfer reversal (kumimodoshi).

(1) In the case of incoming transfers

A return of funds for an incoming transfer refers to a situation where the remitter, who is a business partner of our company, mistakenly transfers funds to us and then requests a refund through the originating bank to the receiving bank.

However, since the funds have already been credited to our account, the refund cannot be processed without our consent.

(2) In the case of outgoing transfers

A return of funds for an outgoing transfer refers to requesting a refund after payment data has already been sent to the bank for some reason.

Our company submits a return request to the bank.

Unlike the above case, the funds have already been credited to the business partner’s account, so the refund cannot be processed without the partner’s consent.

In both incoming and outgoing transfers, the return of funds applies to the entire transfer amount.

Partial refunds of the transfer amount are not possible.

This concludes the explanation of domestic exchange.

1.2) Foreign Exchange

This chapter looks at foreign exchange.

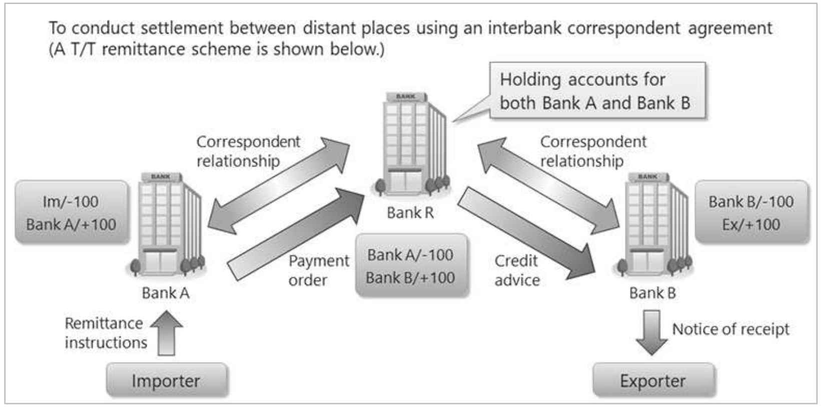
The term "foreign exchange" has two meanings.
The first meaning is advance of funds; the other meaning is exchange.

If you use this term to mean advance of funds, it refers to the mechanism of export and import payment settlements.
The term "foreign exchange" is used to describe financial services for export and import and foreign remittances.

On the other hand, if you use this term to mean exchange, it refers to the exchange rates of foreign currencies.

If you use "foreign exchange" to mean advance of funds, it means to settle claims and obligations with foreign counterparties without physically transferring cash.

Since there is no common system for international settlement, it is conducted by using an interbank correspondent relationship.



Now, let's learn the process of settlement and what a correspondent relationship is.

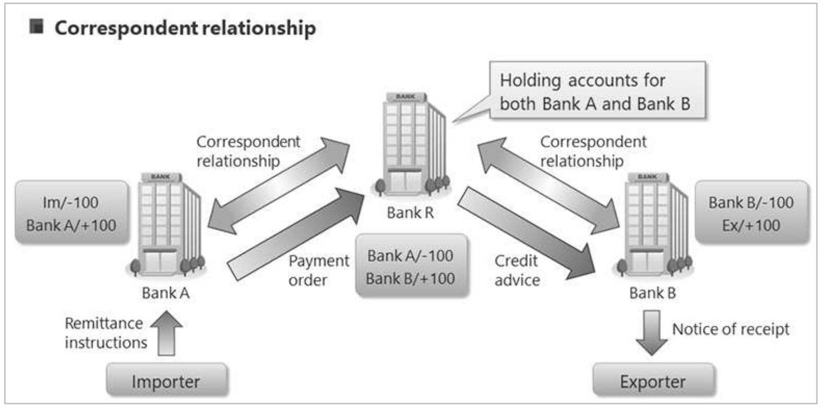
In the case that Bank A in Japan makes a payment of USD100 to Bank B in New York, Bank A contacts Bank R in New York.

Bank A instructs Bank R to deduct USD100 from the account which Bank R holds for Bank A and to deposit into the account of Bank B.

Through this bank account transfer, the importer can make a payment to the exporter without physically transferring cash.

Banks that engage in the international settlement business usually hold depositary accounts in a bank situated in the country of the currency for settlement.

For example, banks hold USD accounts with banks in New York and GBP accounts with banks in London.



Next, you will learn what a correspondent relationship is.

Unlike the Zengin System explained in the section about Japanese domestic exchange, there is no common system for international settlement.

To make cross-border payment transactions, banks open depositary accounts with overseas banks and make settlements through those accounts.

This depositary account is called a correspondent account.

■ Correspondent relationship

- Agreement for conducting exchange transactions (correspondent agreement)
- Correspondent banks can make interbank deals such as letter of credit (L/C) advising, remittance settlement (correspondent account)
- Banks use a communication system called **SWIFT** for sending financial messages such as payment orders between banks

MEMO: What's SWIFT

SWIFT is a global communications link for data processing operated by an organization based in Brussels.
Using the SWIFT system, banks have achieved standardization, increased speed, and cost reduction regarding message transmission in international banking operations.

An agreement by banks to conduct exchange transactions by using a correspondent account is called a correspondent agreement.

If a correspondent agreement has been concluded between correspondent banks, it is possible to handle L/C advising, remittance arrangements, payments, collection of bills, and settlements.

It is difficult for a bank to hold correspondent accounts with all overseas banks for making cross-border payment transactions.

In case of a settlement with a bank that has no correspondent account, a remitting bank indirectly makes a settlement using a third bank's correspondent account.

The network for international settlement is formed by individual interbank correspondent relationships.

In addition, banks use a communicating system called SWIFT for sending financial messages such as payment order between banks.

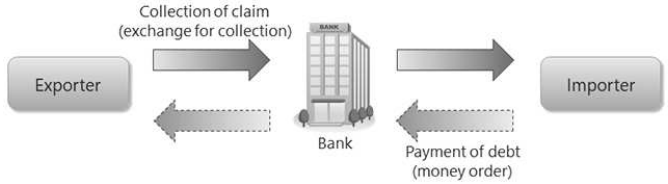
SWIFT is a global communications link for data processing operated by an organization based in Brussels.

Using the SWIFT system, banks have achieved standardization, increased speed, and cost reduction regarding message transmission in international banking operations.

■ Money Order and Exchange for Collection

(1) Money order: a debtor sends money by telegraphic transfer, etc.

(2) Exchange for collection: a creditor collects payment from a debtor through banks



※ A telegraphic transfer remittance is the most common vehicle for settlement of import and export exchange, because it is the most time-efficient vehicle.

There are two methods for settlement of foreign exchange.

(1) A buyer sends money to a seller.

(2) A seller collects money from a buyer.

The first settlement method is called a "money order", via which, for example, a debtor sends money to foreign countries by telegraphic transfer. This is a typical way of sending money to foreign countries.

The second method is called "exchange for collection", via which, for example, a creditor collects payment from a debtor through banks. This is often used for settlement of import and export exchange.

There are three vehicles for transferring funds: a mail transfer remittance; a telegraphic transfer remittance; and a demand draft remittance.

A telegraphic transfer remittance is the most common vehicle for settlement of import and export exchange because it is the most time-efficient vehicle.

1.3) Risks Involved in Trading

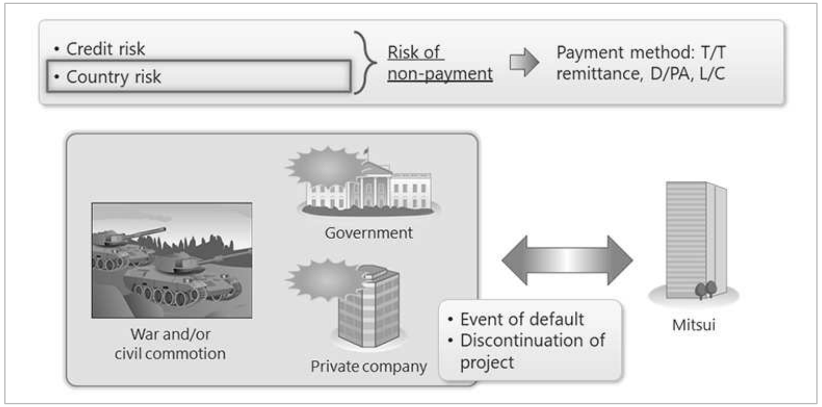
In this section, we will explain the third theme, "Risks Involved in Trading."

Unlike transactions within Japan, conducting export and import business carries various risks, such as those listed in the above figure.

Note that risk hedging refers to anticipating potential dangers ("risks") that may arise in business and taking measures ("hedging") to avoid them.

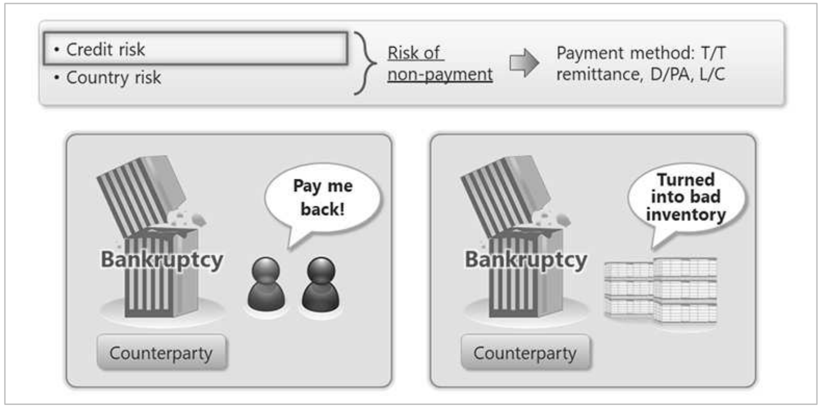
However, even if sufficient precautions are taken in advance to ensure that a transaction does not become subject to such risks, there are risks — such as "economic sanctions risk" — that may suddenly materialize, making prior risk hedging difficult.

Now we will look at various payment methods, which mainly focus on how to hedge the risk of non-payment.



Country risk is an inevitable risk that is beyond the control of individual business counterparties.

For example, there may be the occurrence of an unexpected late payment or stop payment, or trade embargo, as a result of a worsening foreign currency situation, a war or civil commotion, or a policy change following a change of regime in the country of the counterparty.



Credit risk refers to the risk attributable to the counterparty.

For example, this includes situations where payment for exports is not made due to business reasons such as the bankruptcy of the contracting party, or where the counterparty goes bankrupt before shipment, making the export impossible.

These risks are summarized as the risk of non-payment for goods, and the risk of non-payment can be hedged by various payment methods.

In the next section, we will take a look at these various payment methods in connection with the risk of non-payment.

Payment method	Exporter's risk	Importer's risk	Basis of credit decisions
T/T before delivery	Low	High	Cash cover
L/C			Creditworthiness of bank
D/P			Creditworthiness of importer
D/A			Creditworthiness of importer
T/T after delivery	High	Low	NIL

This chart shows the magnitude of the risk of each payment method and the basis of credit decisions for each payment method.

From the exporter's point of view, we list the payment methods in the order of increasing risk of non-payment, namely, T/T before delivery, L/C, D/P, D/A, and T/T after delivery.

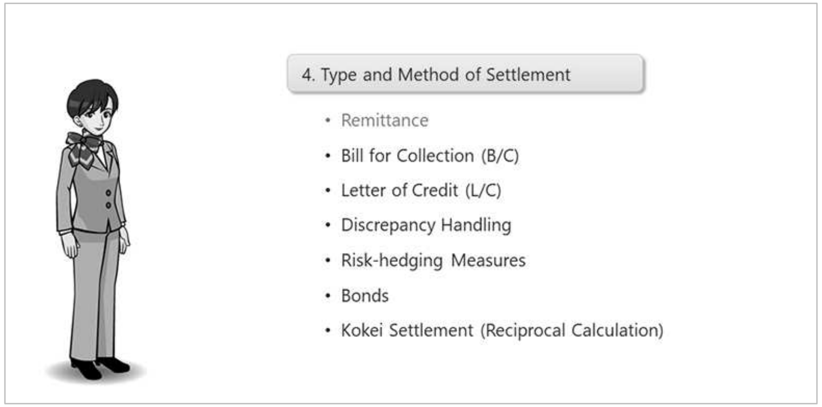
When the exporter receives the entire payment by T/T before delivery, there is no need to consider the risk of non-payment.

However, T/T before delivery may possibly be refused by the importer, because with this payment method, only the importer is exposed to the risk of not receiving goods after making payment for them.

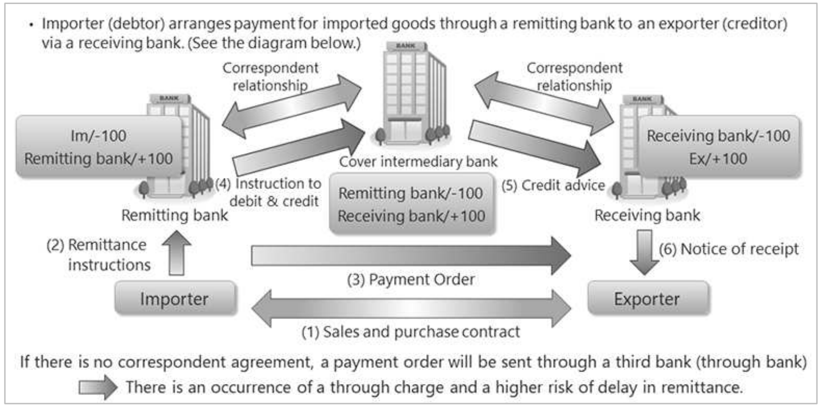
If the importer is not creditable enough and does not accept T/T before delivery, the exporter needs to arrange settlement by L/C, D/P, or D/A.

The next section presents a brief summary of each payment method.

1.4) Settlement Method (Remittance)



In this section, we will explain types and methods of settlement.
First, you will study an overview of the payment and how to process the payment settlement.



Usually, an importer arranges payment for imported goods through a remitting bank to an exporter via a receiving bank.

Let's see how we process the payment settlement.

(1) First, a sales and purchase contract is concluded between an exporter and an importer.

(2) Then, the importer submits payment instructions to the remitting bank.

(3) Next, the remitting bank sends a payment order to the receiving bank instructing that bank to pay the proceeds to the exporter.

(4) At the same time, the remitting bank provides the intermediary bank with cover instructions to deduct funds from its account in the intermediary bank and transfer those funds to the receiving bank's account.

(5) Next, the intermediary bank issues a debit advice to the remitting bank to notify the deduction of funds from the remitting bank's account, and also issues a credit advice to the receiving bank to notify the deposit of the funds into the receiving bank' s account.

(6) Finally, the receiving bank deposits the funds to the exporter's account and notifies the exporter of the completion of the settlement.

If there is no correspondent agreement between a remitting bank and a receiving bank, a payment order will be sent through a third bank that has entered into a correspondent agreement with both a remitting bank and a receiving bank. This third bank is called a "through bank". A through bank requires a "through charge" when it arranges payment settlement.

In the case there is no corresponding agreement between our remitting bank and a specified receiving bank of the counterparty, it must be kept in mind that there is a higher risk of delay in remittance, etc. for remittance via a through bank.

A payment order is an interbank payment instruction for the remittance of funds, issued by a remitting bank to a receiving bank. It is often abbreviated to "P/O".

Payment order is usually sent in the SWIFT format between the banks based on a payer's (importer's) remittance instructions.

1.5) Settlement Method (B/C)

4. Type and Method of Settlement

- Remittance
- Bill for Collection (B/C)
- Letter of Credit (L/C)
- Discrepancy Handling
- Risk-hedging Measures
- Bonds
- Kokei Settlement (Reciprocal Calculation)

Next, we will review the bill for collection arrangements.

■ Overview of bill for collection (B/C)

Definition: An arrangement in which the exporter issues a bill of exchange stipulating the importer as the drawee, and the exporter's bank issues collection instructions to the importer's bank.

- **D/P (Documents against Payment)**
  The importer receives shipping documents in exchange for its **payment.**
- **D/A (Documents against Acceptance)**
  The importer receives shipping documents in exchange for its **acceptance** of a bill of exchange.

□Note: What is a documentary bill of exchange?

Bill of exchange : A negotiable instrument in which the seller (drawer), requests the buyer (payer), to pay a certain amount to the payee.

Documentary bill of exchange : A bill of exchange with shipping documents attached

A bill for collection (B/C) is an arrangement in which the exporter issues a bill of exchange stipulating the importer as the drawee, and the exporter's bank issues collection instructions to the bank in the importing country.

Shipping documents, attached to a bill of exchange, are sent via the bank and are handed over only upon payment or receipt of the documentary bill of exchange by the importer.

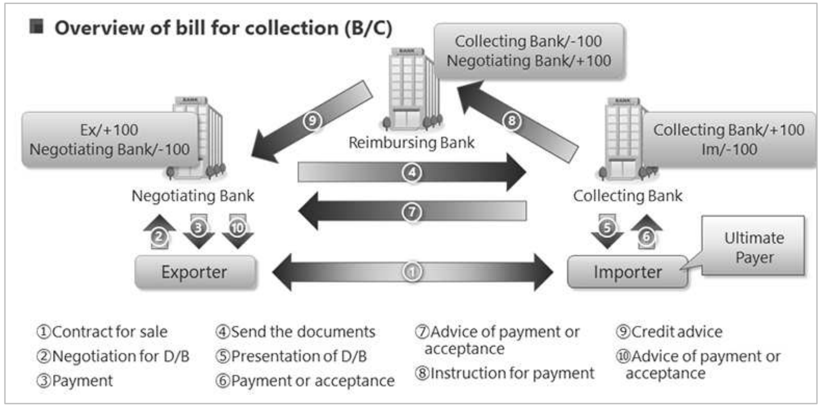
A bill for collection arrangement is from the viewpoint of the importer (buyer). On the exporter's side (seller's side), a bill for collection arrangement is called "D/P (Documents against Payment)" or "D/A (Documents against Acceptance)."

D/P refers to a settlement method in which shipping documents are handed over in exchange for payment against a sight draft. D/A refers to a settlement method in which shipping documents are handed over in exchange for the acceptance of a time draft.

In these settlements mentioned above, a documentary bill of exchange is used. It is a bill of exchange to which shipping documents are attached, and the bill of exchange mentioned here is a negotiable instrument in which the seller (drawer) requests the buyer (drawee) to pay a certain amount of money to the payee.

Banks act as intermediaries in order to enable smooth exchange of goods and payments in foreign trade conducted between parties in different countries.

In other words, it is as if a bank is entrusted with a claim ticket for goods and collects money from the buyer in exchange for the ticket. The instrument by which money is collected is called a documentary bill of exchange (also called documentary bill, or D/B).



Now we will explain the flow of bill for collection settlement.
(1) First, a sales contract is concluded between the exporter and the importer.
(2) Then, the exporter brings in the documentary bill of exchange, i.e. bill of exchange with shipping documents attached, to the negotiating bank and requests negotiation or collection.
(3) The draft amount is paid to the exporter by the negotiating bank in the case of negotiation.
(4) The negotiating bank sends the documentary bill of exchange to the collecting bank and asks for collection.
(5) The collecting bank presents the importer with the documentary bill of exchange received from the negotiating bank.
(6) The importer receives the documents by making payment or accepting the bill of exchange.

(7) The collecting bank informs the negotiating bank of the payment or acceptance.
(8) Payment instruction is sent by the collecting bank to the reimbursing bank.
(9) The reimbursing bank informs the negotiating bank of the payment by sending credit advice.
(10) The exporter is informed of the payment or the acceptance of the bill of exchange.

That is the flow of bill for collection settlement.

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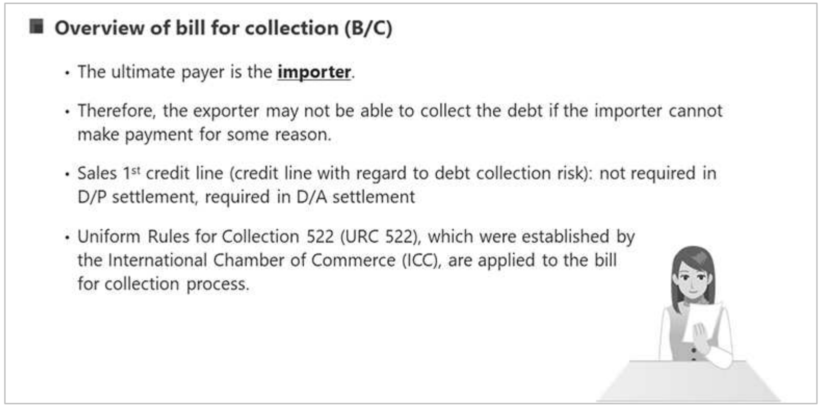

In bill for collection settlement, the ultimate payer is the importer.
Therefore, the exporter may not be able to collect the debt if the importer cannot make payment for some reason.

The limit amount set as the credit allowance for collecting trade payments is referred to as the "first credit line".
Meanwhile, Mitsui & Co. sets the limit amount for the risk associated with the delivery of goods under the trade contract as the "second credit line."

In principle, the application for and approval of the first credit line shall not be required in the case of D/P, but shall be required in the case of D/A.
The Uniform Rules for Collection 522 (URC 522), which were established by the International Chamber of Commerce (ICC), are applied to the bill for collection process.

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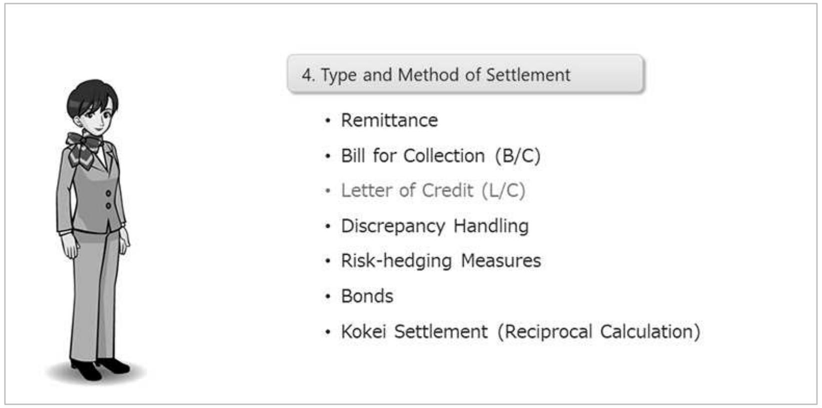
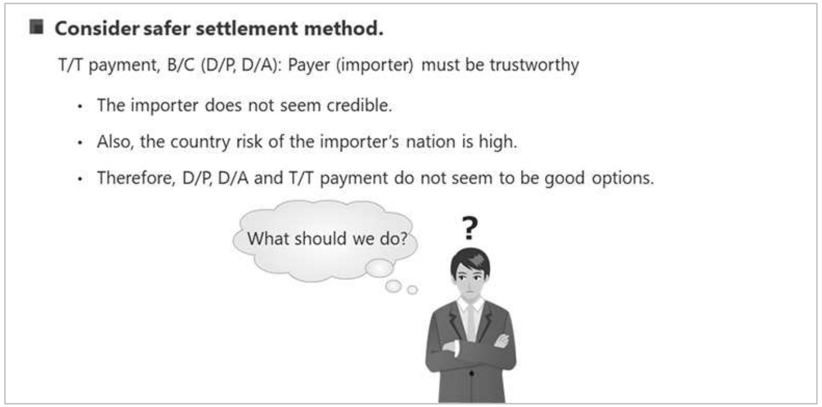
1.6) Settlement Method (L/C)



Now, we will look at the settlement of a letter of credit.



In the previous section, we explained T/T payment, documents against payment, and documents against acceptance settlements.

In these settlements, the importer, the ultimate payer, must be trustworthy.

What if the importer does not seem credible and the country risk of the importer's nation is high?

In this kind of situation, where D/P, D/A, or T/T payment does not seem to be a good choice, what should we do?

Overview of Letter of Credit (L/C)

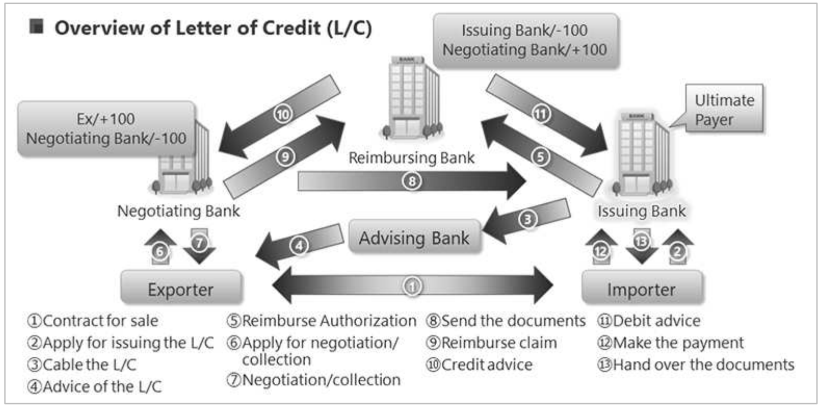
- Neither D/P nor D/A is appropriate when the credit risk of the importer and/or the country risk of the importer's nation is high.
- Then, L/C settlement, where the issuing bank acts as ultimate payer instead of the importer, is used.
- The condition for the bank to become the ultimate payer is that the requirements specified in the letter of credit are fulfilled.
- If the required conditions are not met, the issuing bank will not take responsibility as an ultimate payer and the exporter is exposed to the same amount of risks as D/P and D/A.

Neither D/P nor D/A will be appropriate when the credit risk of the importer and/or the country risk of importer's nation is high.

In such case, a letter of credit settlement is used, where the L/C issuing bank acts as the ultimate payer instead of the importer.

The condition for the bank to become the ultimate payer is that the requirements specified in the letter of credit are fulfilled.

If the required conditions are not met, the issuing bank will not take responsibility as the ultimate payer and the exporter is exposed to the same magnitude of risks as documents against payment and documents against acceptance.



Let's look at the flow of letter of credit settlement.

(1) First, a sales contract is concluded between the exporter and the importer.

(2) The importer will request the bank in their country to issue a letter of credit.

(3) The issuing bank cables the letter of credit to the advising bank.

(4) The advising bank informs the exporter of the opening of the letter of credit. The original letter of credit will be delivered.

(5) The issuing bank usually gives reimbursement authorization to the reimbursing bank.

(6) The exporter prepares a bill of exchange, including shipping documents, in accordance with the terms of the L/C, and requests either negotiation or collection.

(7) Based on the exporter's request, the negotiating bank purchases or collects the bill of exchange with shipping documents. In the case of negotiation, funds are paid to the exporter at this point.

(8) The negotiating bank sends the documentary bill of exchange to the opening bank.

(9) The negotiating bank claims reimbursement from the reimbursing bank.

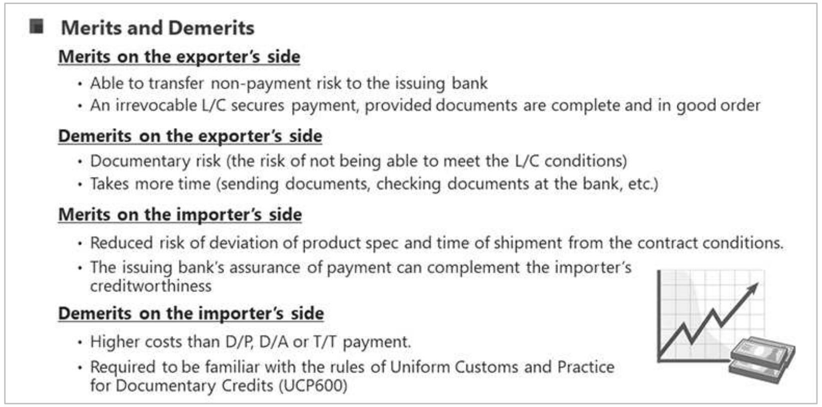
(10) Upon receipt of a reimbursement claim, the reimbursing bank sends a credit note to the negotiating bank.

(11) The reimbursing bank sends a debit note to the issuing bank.

(12) The importer makes payment or accepts the bill of exchange.

(13) Upon payment or acceptance, the issuing bank hands over the shipping documents to the importer.

This is the flow of the letter of credit settlement.



Here, we will explain the merits and demerits of letter of credit settlement both on the exporter's and importer's side.

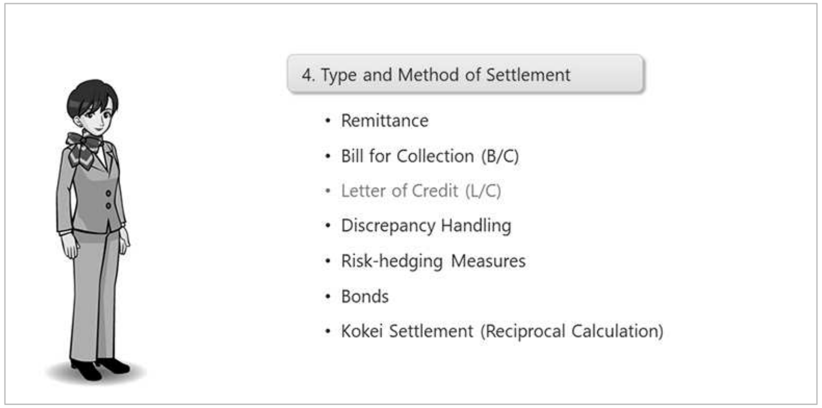
The merits on the exporter's side are that the issuing bank's assurance of payment can complement the importer's creditworthiness and that an irrevocable letter of credit secures payment as long as the documents are complete without discrepancies.

The demerits on the exporter's side are that they cannot secure payment unless the documents meet the letter of credit condition and that letter of credit settlement takes more time because it involves sending and checking the documents.

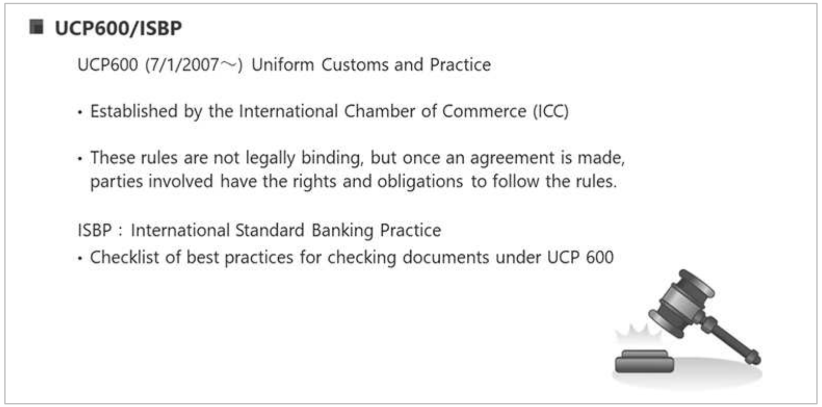
The merits on the importer's side are that they are able to reduce the risk of deviation of product spec and time of shipment from the contract conditions and that subsequently they may seize more business opportunities with the issuing bank's assurance of payment to the exporter.

The demerits on the importer's side are that letter of credit settlement costs more than documents against payment, documents against acceptance, or T/T payment and that they need to be familiar with the rules of Uniform Customs and Practice for Documentary Credits (UCP600).

1.7) Rules and Functional Classifications of L/C



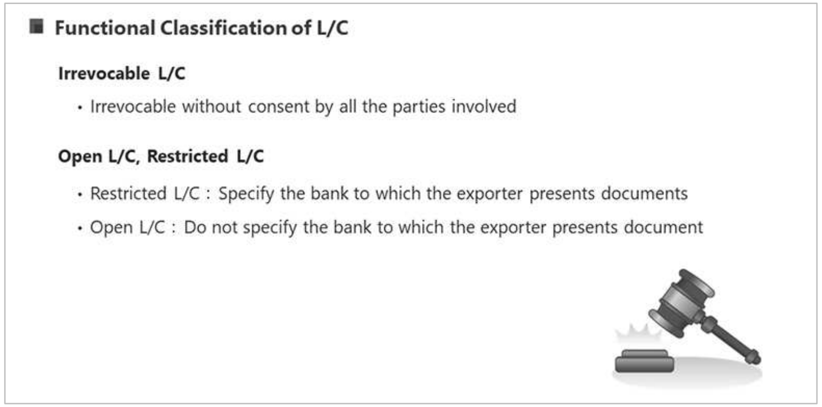
Next, we will look at rules and functional classification of letters of credit.



Next, we will look at UCP 600 and ISBP, which are the uniform rules that apply to letters of credit. L/C transactions are generally conducted in accordance with the Uniform Customs and Practice for Documentary Credits (UCP 600), which was established by the International Chamber of Commerce (ICC).

UCP 600 was created with the aim of achieving consistency in interpretation among parties involved in L/C transactions. Although these rules are not legally binding, they become enforceable when the parties agree to apply them —specifically, by stating on the L/C that it is subject to these rules.

In addition, ISBP refers to the International Standard Banking Practice for Documentary Credits, which consolidates practices related to L/Cs. It is used as a guideline for document examination and interpretation.



Next, let's look at functional classification of L/C.

An irrevocable L/C is a credit, which is not cancelable.

Once an L/C is issued, it will be irrevocable without the consent of all the parties involved, such as the issuing bank, beneficiary, and applicant.

Under UCP600, an L/C is irrevocable unless it clearly describes that it is not irrevocable.

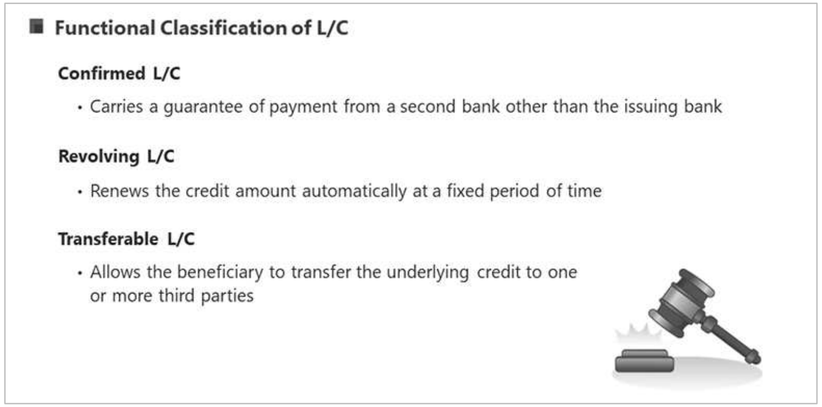
There are two types of L/C, namely, open L/C and restricted L/C.

A restricted L/C is an L/C with which the bank to which the exporter presents documents is specified.

An open L/C is an L/C that does not specify the bank to which the exporter presents documents.

With an open L/C, it is possible to present documents to the bank that offers the most favorable conditions, whereas a restricted L/C does not provide this option, making it disadvantageous for the exporter.

Therefore, exporters should try their best to use an open L/C.



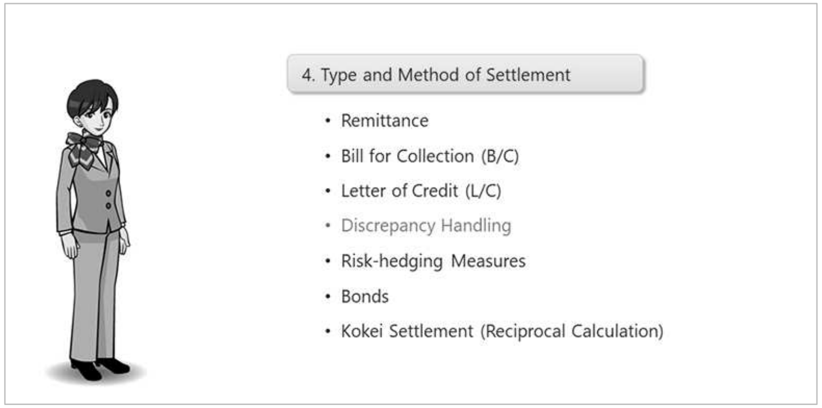
A confirmed L/C refers to an L/C that carries a guarantee of payment by another bank in addition to the issuing bank's payment. This additional payment undertaking by the other bank is called "confirmation".

When there are concerns about the issuing bank's creditworthiness or the country risk of the issuing bank's country, it becomes necessary to obtain an additional payment commitment — i.e., confirmation — from a highly reputable Japanese bank or a foreign bank operating in Japan.

A revolving L/C is an L/C in which the amount automatically reinstates. It is issued when the same type of goods is traded repeatedly with the same counterparty. For trade conducted under the same conditions within a certain period, this arrangement eliminates the need to issue a new L/C each time by updating the amount as required.

A transferable L/C is an L/C that allows the exporter, through the transferring bank, to transfer all or part of the credit amount to a third party (such as a manufacturer).

1.8) Handling Discrepancies



In the following, we will look at discrepancies and the ways of handling them.

Discrepancy

Inconsistencies between terms of L/C and the content of shipping documents

* Issuing bank will not guarantee payment when documents contain any discrepancy

Handling discrepancies

(1) Replacement of document(s)
(2) L/C Amendment
(3) Cable Nego
(4) L/G Nego

* L/G nego means abandonment of the payment assurance. Therefore prior consent of the buyer is needed to ensure payment.

* For discrepancies found by the issuing bank, prior approval of the importer is required because the importer has to assuredly accept any discrepancies when the issuing bank finds them in the documents.

A discrepancy refers to a mismatch between the terms of the L/C and the contents of the shipping documents. When a discrepancy occurs, the issuing bank's payment undertaking becomes invalid, so caution is required.

To handle discrepancies, there are four methods described below.

(1) Correction or replacement of documents In the case of replacing documents, it is necessary to confirm whether it is possible to do so within the presentation period.

(2) L/C amendment

(3) Cable negotiation

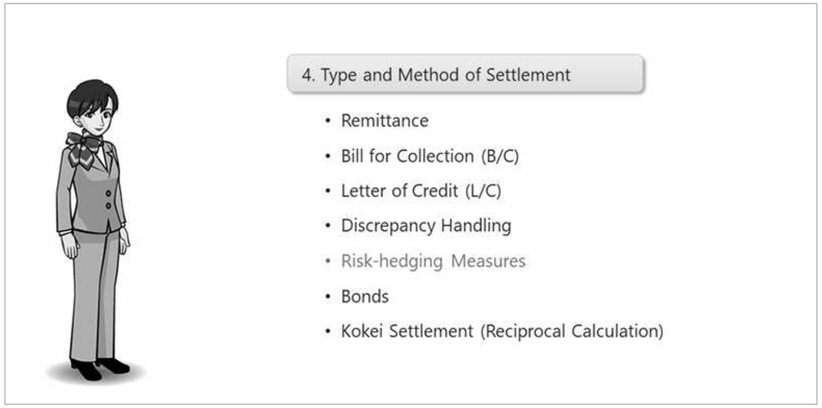
If there is not enough time to make an amendment, a cable negotiation is carried out. The cable negotiation refers to the process where the negotiating bank sends a telegraphic inquiry to the issuing bank to confirm whether the documents can be purchased, and proceeds with the negotiation only after obtaining the issuing bank's approval.

(4) L/G negotiation

When there is no time to get the cable negotiation approval due to a tight shipment schedule, for example, an L/G negotiation can be used. When there is no time to obtain approval for a cable negotiation, such as when the cargo arrival date is imminent, an L/G negotiation is carried out. The L/G negotiation refers to the process where the negotiating bank purchases the documents against a letter of guarantee (L/G) provided by the exporter. In practice, the L/G negotiation always requires prior acceptance from the importer.

Furthermore, if discrepancies are found during document examination by the issuing bank, it is also necessary to obtain the importer's acceptance to address them.

1.9) Risk-hedging Measures



Next, we will look at risk-hedging measures in the case of L/C settlement.

The following measures enable beneficiary to hedge risks, such as commercial risks and county risks

L/C Confirmation

Guarantees payment on due date on top of the L/C issuing bank's payment guarantee

Trade insurance / Export bill insurance

Marine insurance covers losses incurred during transportation

Trade insurance covers credit risk and catastrophe risk marine insurance does not cover

Export bill insurance is hedging non-payment risks in L/C, D/P and D/A settlement

Forfeiting

Financing method whereby a third party buys, without recourse, the claims concerning L/C and D/A.

By implementing risk-hedging measures, it becomes possible to mitigate the importer's credit risk as well as the country risk associated with the importer's location.
Note that "risk hedging" refers to anticipating potential business risks that may arise in the future and taking measures to avoid them.

Such risk-hedging measures typically include L/C confirmation, trade insurance, and forfaiting.
First, L/C confirmation refers to the addition of a payment undertaking by another bank, in addition to the issuing bank's payment commitment. An L/C with this additional payment undertaking is called a Confirmed L/C.

The bank that provides this additional payment undertaking is referred to as the confirming bank.

In principle, even if the issuing bank becomes unable to make payment, the confirming bank will make or accept the payment under a confirmed L/C, providing the beneficiary with more reliable protection of receivables.

However, a confirming bank does not provide a payment undertaking for every issuing bank. The decision on whether to confirm and the guaranteed fee rate required for such confirmation are determined by each bank at its own discretion, taking into account the country risk of the issuing bank's location and the issuing bank's credit risk.

Next, we will look at trade insurance.

Marine insurance covers physical loss of or physical damage to cargo during transportation, whereas trade insurance covers extraordinary risks and credit risks that are not protected under general property insurance.
Trade insurance is provided by Nippon Export and Investment Insurance (NEXI).

Export bill insurance is one type of trade insurance. It provides coverage against the risk that bills purchased by a Japanese bank under L/C transactions or D/P and D/A transactions are not settled on their due date.

Note that the insured party under export bill insurance is not the exporter, but the bank that purchased the bill.

If the bill is not settled at maturity, the purchasing bank notifies NEXI of the loss and files a claim for the insurance payout.

Finally, let us explain forfaiting.

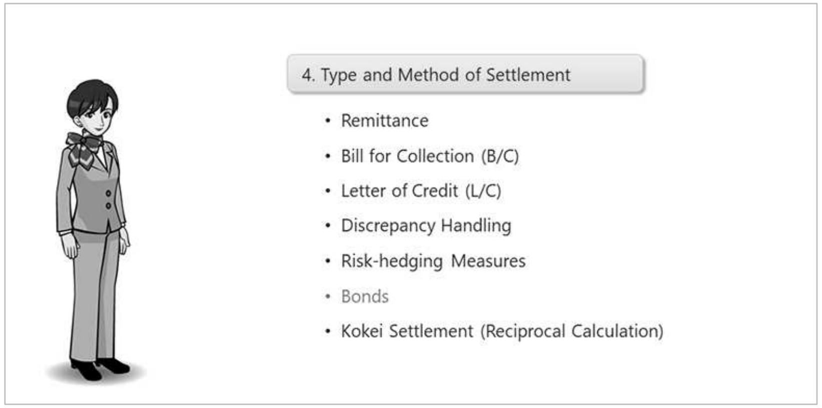
Forfaiting refers to the purchase of term bills receivable arising from the sale of goods or provision of services by a financial institution or a receivables purchaser (called a forfeiter), on a without recourse basis, which means the seller waives the right of recourse.

In a typical export bill transaction, if the issuing bank or other drawee refuses payment or acceptance at maturity, the negotiating bank requests a buyback and the funds received at the time of purchase must be returned.

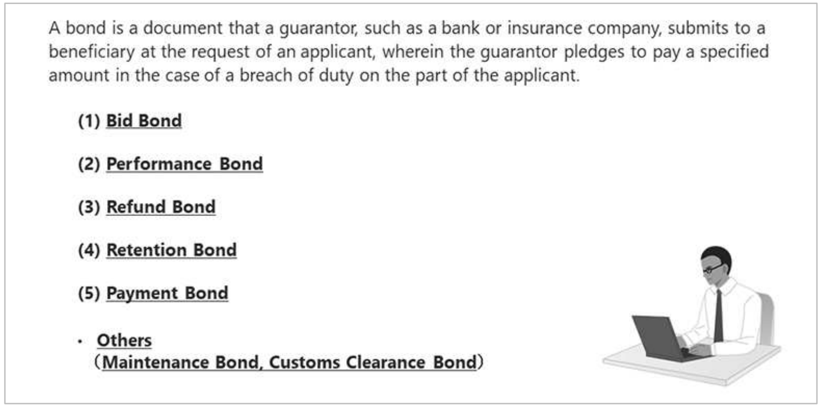
When using this financial instrument, an additional forfaiting handling fee is charged separately from the normal bill purchase fee. However, since the purchase is made on the condition that the drawee accepts the term bill and without recourse, the exporter benefits from eliminating the risk of losing the funds after acceptance.

By implementing these risk-hedging measures, it is possible to mitigate the importer's credit risk and the country risk associated with the importer's location.

1.10) Bonds



In this section, we will explain bonds.



A bond is a document that a guarantor, such as a bank or insurance company, submits to a beneficiary at the request of an applicant, wherein the guarantor pledges to pay a specified amount in the case of a breach of duty on the part of the applicant.

A bond is categorized by the objectives of the guarantee as follows.

(1) Bid Bond

A bid bond guarantees that in a bid transaction, the bidder concerned will responsibly participate in the bid and a contract will be concluded if the bidder's bid is accepted. The bond also pledges that a specified amount must be paid if the bidder fails to meet any of the above conditions.

(2) Performance Bond

A performance bond guarantees that the contracting party will perform a contract and pledges that a specified amount must be paid to the other party if the contracting party fails to fulfil the contract.

(3) Refund Bond

This is a guarantee provided when the contracting party has received an advance payment, ensuring the return of the advance payment in the event of contract non-performance, and committing to pay the guaranteed amount if the contracting party fails to return the advance payment.

(4) Retention Bond

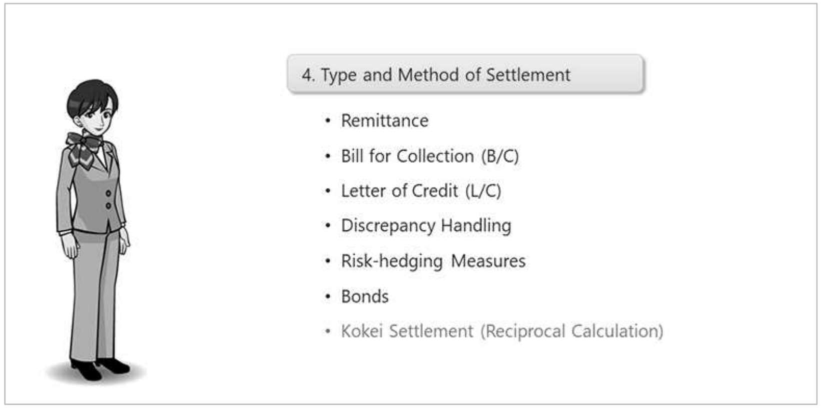
A retention bond guarantees, in plant construction contracts or EPC contracts, the completion of the work and the fulfillment of obligations to repair defects , and it commits to paying the guaranteed amount in the event of non-performance.

(5) Payment Bond

This is provided as security for the payment for imported goods; generally, if the importer fails to pay the accounts payable to the exporter, the guarantor undertakes to make payment to the exporter up to the guaranteed amount.

In addition to the above, there are some other types of bonds, such as maintenance bonds and custom clearance bonds.

1.11) Kokei Settlement



In this section, we will explain kokei settlement (reciprocal calculation).

Kokei settlement is a system used when settling accounts with specific customers with whom Mitsui frequently has transactions. Instead of settling a claim or an obligation each time that it occurs, only the set-off balance of all the outstanding claims and obligations arising from these transactions over a certain period of time is settled.

The MFM Payment Advisory & Execution Division confirms the set–off balance and makes a settlement with each overseas office basically once a month.

- **Offices using kokei settlement**
  - About 35 offices at present
  - Settlement in up to 3 currencies
- **Points to remember**
  - Ruled by the Foreign Exchange Law of Japan and similar laws in countries of counterparties There may be restrictions on the purpose of settlement (payments for goods through kokei settlement is prohibited) / One-way kokei office (only collection for overseas offices is allowed)
  - Restriction on kokei settlement for large sums

Kokei settlement is a system used when settling accounts with specific customers with whom Mitsui frequently has transactions. Instead of settling a claim or an obligation each time that it occurs, only the set-off balance of all the outstanding claims and obligations arising from these transactions over a certain period of time is settled.

At Mitsui, kokei settlement is carried out for transactions between Japanese domestic offices and overseas branches/overseas trading subsidiaries/overseas affiliated companies. Kokei settlement allows a saving in bank charges and simplifies administrative procedures.

Under the kokei settlement system, the Mitsui & Co. Financial Management's Payment Advisory & Execution Division confirms the set–off balance and makes a settlement with each overseas office basically once a month, via T/T remittance. It is called kokei-jiri settlement.

At present, about 35 offices are able to use kokei settlement with Mitsui's Head Office. Each office is able to make kokei settlement in up to three currencies.

There are two points which need to be remembered.

First, since kokei settlement is deemed to offset transactions, it is subject to the Foreign Exchange Law of Japan, as well as similar laws in countries of counterparties.

For example, in some countries, payments for goods through kokei settlement are prohibited, or only available for overseas offices when they receive the payments.

Second, kokei settlement for large sums is restricted in some countries.

Before using kokei settlement, it is required to check the rules for kokei operations, which differ from office to office depending on local circumstances.

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1.12) Foreign Exchange Law of Japan

We will explain the Foreign Exchange Law of Japan in the final section of fund settlement.

Japan Related
The contents are limited to Japan.

- **The Foreign Exchange Law of Japan**
  (officially, "Foreign Exchange and Foreign Trade Control Law of Japan")
  The law governing all international transactions including transfer of funds, goods and services between Japan and a foreign state, and is also applicable to foreign currency transactions between Japanese residents.

Revised in April 1998
In principle, permit and pre-reporting system

Ex-post facto reporting system with some exceptions

Required to report : international transactions, including certain capital transactions, payment or receipt of payment, etc.

The official name of the Foreign Exchange Law of Japan is the "Foreign Exchange and Foreign Trade Control Law of Japan". This is the law governing all international transactions including transfer of funds, goods, and services between Japan and a foreign state, and it is also applicable to foreign currency transactions between Japanese residents.

The Foreign Exchange Law of Japan was revised in April 1998, and the permit and reporting system that existed up till then was changed to an "ex-post facto reporting system" with some exceptions by the revision.

For example, international transactions including certain capital transactions and payment or receipt of payment are required to be reported.

The Japanese government, which wants to collect data on international balance of payment statistics, requires parties to international transactions to file various reports.

Japan Related
The contents are limited to Japan.

- **The Foreign Exchange Law of Japan**
  (officially, "Foreign Exchange and Foreign Trade Control Law of Japan")
  The law governing all international transactions including transfer of funds, goods and services between Japan and a foreign state, and is also applicable to foreign currency transactions between Japanese residents.
- **Ex-post facto reporting**
  Parties to international transactions are required to file various reports for the purpose of producing statistics and understanding international transactions.
- **Prior permission**
  In some cases, such as making a payment with a party from a country known to engage in the manufacture or distribution of weapons of mass destruction or in nuclear development, etc., such as North Korea and Iran, it is necessary to obtain prior permission by the finance minister.
  However, applications for obtaining prior permission under the Foreign Exchange Law of Japan are not usually approved. These transactions are prohibited in substance.
- **Prior notification**
  In cases such as making an investment in or a loan to a party in the fishery industry, leather or leather products manufacturing industry, arms manufacturing industry, arms production facilities manufacturing industry and controlled narcotics manufacturing industry filing prior notification with the finance minister is requited.

There are some exceptions for ex-post facto reporting. Prior permission or prior notification is still required for some transactions.

For example, it is necessary to obtain prior permission for transactions that include those with a party from a country known to engage in the manufacture or distribution of weapons of mass destruction or in nuclear development, such as North Korea or Iran.

However, applications for obtaining prior permission under the Foreign Exchange Law of Japan are not usually approved. These transactions are prohibited in substance.

In such cases as making an investment in or providing a loan to a party in the fishery industry, leather or leather products manufacturing industry, arms manufacturing industry, arms production facilities manufacturing industry, or controlled pharmaceuticals manufacturing industry, filing prior notification with the finance minister is required.

Japan Related
The contents are limited to Japan.

■ Situations in which there are compliance deviations from the Foreign Exchange Law of Japan

- Conducting transactions without obtaining designated permission
- Conducting transactions without filing notification
- Not filing required reports

■ Applicable criminal punishment

Examples:

(1) Imprisonment for not more than five years or a fine of not more than five million yen, or both

(2) Imprisonment for not more than six months or a fine of not more than five hundred thousand yen

Let's take a look at the situations in which there are compliance deviations from the Foreign Exchange Law of Japan.

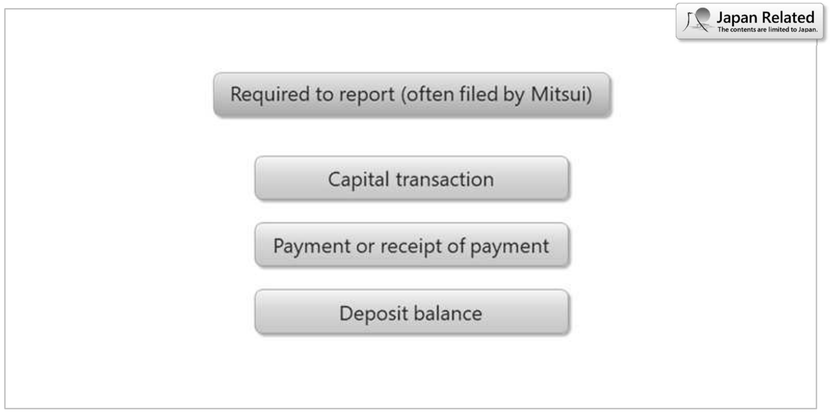
Specifically, the following cases are deemed a violation of law: conducting transactions without obtaining designated permission; conducting transactions without filing notification; failing to file required reports.

For the purpose of ensuring the effectiveness of legal compliance, there are applicable criminal punishments depending on the violation.

For example, any person who has violated the Foreign Exchange Law of Japan,

(1) shall be punished by imprisonment for not more than five years or receive a fine of not more than five million yen, or both;

(2) shall be punished by imprisonment for not more than six months or receive a fine of not more than five hundred thousand yen.



Next, let's take a look at transactions for which reports are required.

There are basically three types of transactions conducted by Mitsui that require a report to be filed. These are a capital transaction, payment or receipt of payment, and deposit balance.

We listed these items here because these are closely related to the core business of Mitsui. There are also other transactions that require reporting.

In this section, you will learn the abovementioned three main types of reports.

Now, let's take a closer look at each type of report.

Firstly, with regard to capital transactions, the following are the three types of reports that are often filed by Mitsui.

The first is a "Report on Acquisition or Transfer of Securities", which needs to be filed for acquisitions of securities from a non-resident and for transfers of securities to a non-resident on condition that the amount of a transaction is more than 100 million yen.

The second is a "Report on Acquisition of Securities Related to Foreign Direct Investment", which needs to be filed for acquisition of securities from a non-resident on condition that the amount of a transaction is equal to or more than 1 billion yen and that the securities are issued by a foreign corporate entity pertaining to "foreign direct investment".

The third is a "Report on Transfer of Securities and Waiver and Exemption of Claims Related to Foreign Direct Investment", which needs to be filed for transfers of securities to a non-resident, in connection with foreign direct investment, on condition that the said securities are issued by a foreign corporate entity and that the amount of a transaction is equal to or more than 1 billion yen.

This report also needs to be filed for a waiver or exemption of loan claims on a foreign corporate entity pertaining to foreign direct investment on condition that the amount of a transaction is equal to or more than 1 billion yen and that the term of original loan contract is more than a year.

A foreign corporate entity subject to reporting here is a foreign corporate entity in which Mitsui possesses a 10% stake or more, or Mitsui and its wholly owned subsidiary(ies) possess a 10% stake or more in total. Note, however, that the report does not need to be filed if Mitsui has not directly invested in the foreign corporate entity.

The "Report on Acquisition or Transfer of Securities" does not need to be filed when the "Report on Acquisition of Securities Related to Foreign Direct Investment" or "Report on Transfer of Securities and Waiver and Exemption of Claims Related to Foreign Direct Investment" is filed.

Japan Related
The contents are limited to Japan.

Payment or receipt of payment

- Criteria
  (1) A transaction is other than a transaction between Mitsui and a domestic resident in Japan
  (2) The amount of a transaction is more than 30 million yen
  (3) Payment that is not related to goods exported from or imported to Japan
  (In the case where funds are paid out of and deposited into an overseas account, only if Mitsui Tokyo is the account holder)
- Transactions to report
  (1) Transactions through domestic banks in Japan
  (2) Transactions not through domestics banks in Japan (Frequently done by Mitsui)
  1. Setoff
  2. Paying or receiving money on behalf of non-resident
  3. Funds paid out of and deposited into an overseas account

Next, let's take a close look at payment or receipt of payment.

Reports are necessary under the following conditions.

First, a transaction is other than a transaction between Mitsui and a domestic resident in Japan. Second, the amount of a transaction is more than 30 million yen. Third, a payment is for something other than goods exported from or imported to Japan.

Funds paid out of and deposited into an overseas account need to be reported if the account is in the name of Mitsui & Co. Head Office.

For transactions that meet the said reporting conditions, a "Report on Payment or Receipt of Payment" shall be needed, regardless of whether or not the transactions are made through domestic banks in Japan. Among transactions that are not made through domestic banks, those Mitsui has been often required to report include a setoff, D/P, D/A, and funds paid out of and deposited into an overseas account.

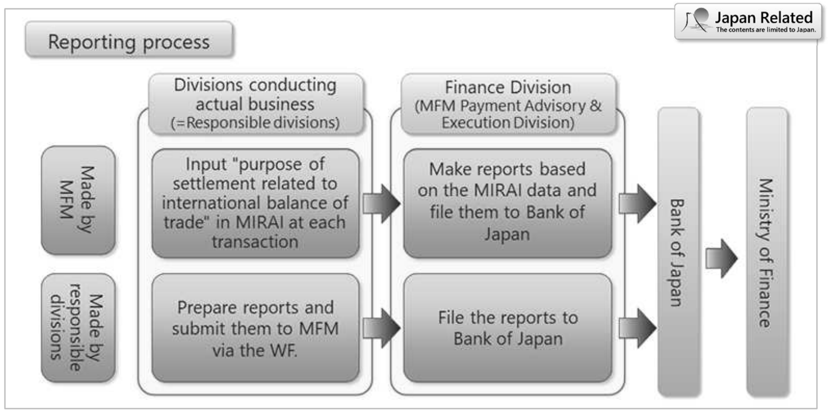
Japan Related
The contents are limited to Japan.

Deposit balance

- Criteria
  Required to report if the balance on an overseas deposit account of Mitsui Tokyo or security deposit, warranty deposit, etc. with a non-resident is more than 100 million yen at the end of any given month.

Finally, we will explain reports on deposit balances.

It is necessary to file a "Report on Overseas Deposit Balances" if a balance on an overseas deposit account of Mitsui & Co. Head Office or a balance on a security deposit, warranty deposit, etc. with respect to a non-resident is more than 100 million yen at the end of any given month.



Here, at the end of the Foreign Exchange Law of Japan section, the reporting process is explained.

Under Mitsui's procedure, each division that is conducting actual business has the responsibility to file accurate reports, as required by the Foreign Exchange Law of Japan. However, some reports on transactions that can be made with data in the MIRAI system are made by the Payment Advisory & Execution Division of Mitsui & Co. Financial Management, on behalf of the responsible division.

In Mitsui, there are mainly two reporting processes.

One is a process in which the said Payment Advisory & Execution Division makes and files reports to the Bank of Japan on behalf of responsible divisions based on the international balance of payments item number, input in MIRAI by the divisions for transactions. Reports on transactions made through domestic banks in Japan and current account settlement (kokei settlement) are processed this way.

The other is a process in which each responsible division makes reports. The division submits the reports via the WF, and then the said Payment Advisory & Execution Division submits the reports to the Bank of Japan. Reports on transactions other than those specified in the first process are all processed this way.

In the former process, responsible divisions that conduct actual business need to confirm that the proper international balance of payments item number has been input in MIRAI for each transaction. In the latter process, responsible divisions must confirm that they have not forgotten to file necessary reports and that accurate reports are made in a proper manner.

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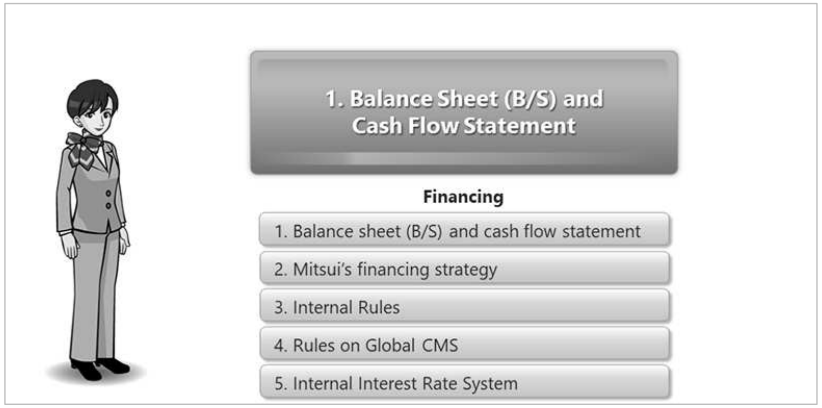
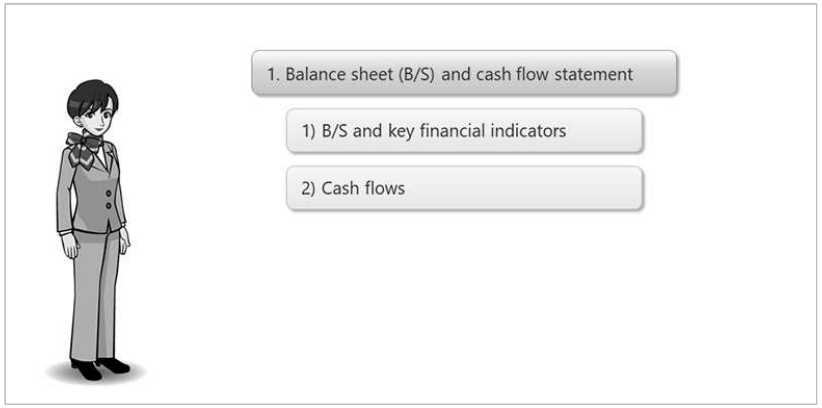
2. Funding

2.1) Balance Sheet (B/S) and Cash Flow Statement

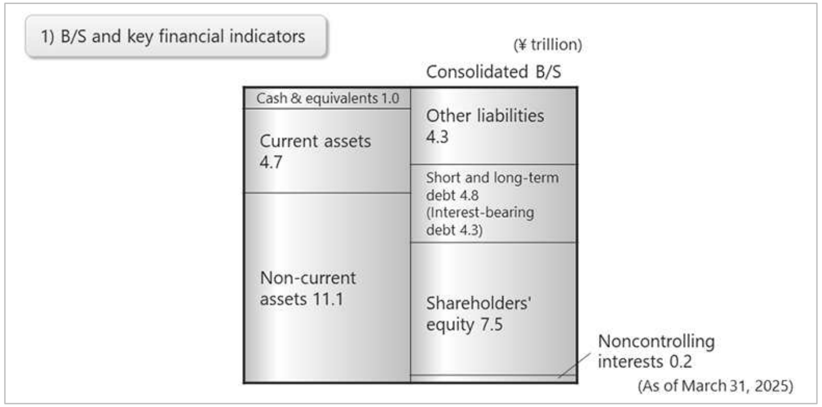


In this chapter, you will gain an overall understanding of a balance sheet (B/S) and a cash flow statement, Mitsui's financing strategy, internal rules, the Rules on Global Cash Management System ("Global CMS"), and the rules on internal interest rates system.

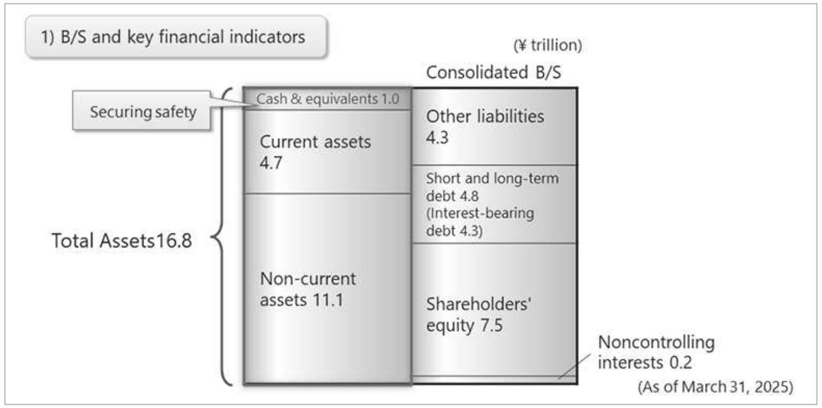


In this section, we will cover two aspects regarding a balance sheet (B/S) and a cash flow statement. Accordingly, we will look at:

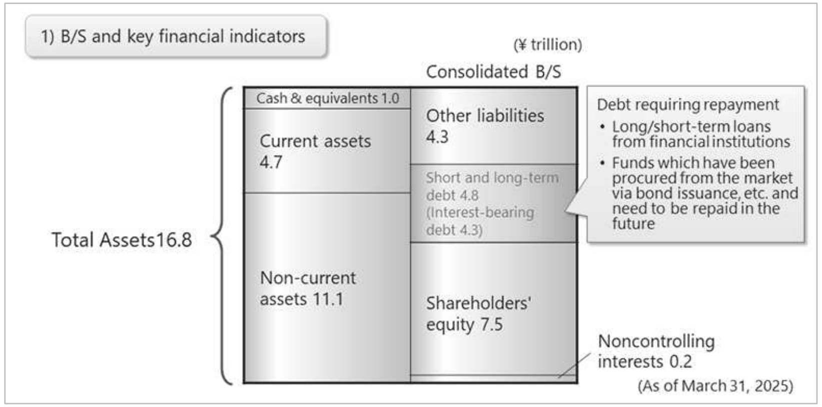
1) A balance sheet (B/S) and various key financial indicators, and
2) Cash flow



First, let's look at the actual figures of the balance sheet.
Here. you see an abbreviated version of a consolidated balance sheet.

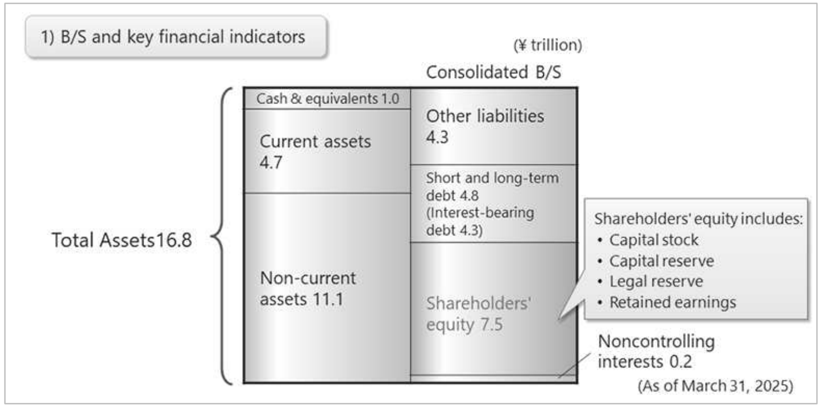


The balance sheet lists total assets of 16.8 trillion yen. The amount of cash and equivalents is 1 trillion yen, which accounts for 5.9% of the total assets. This figure can be regarded as favorable in terms of securing liquidity to provide for emergency situations.



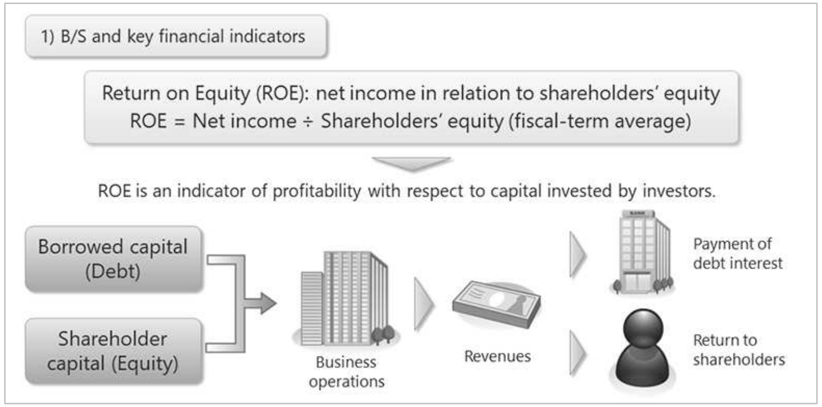
Interest bearing debt amounts to 4.3 trillion yen (the interest-bearing debt is calculated by excluding lease liability from the short and long-term debt).Interest-bearing debt must be repaid with interest.

More specifically, this interest-bearing debt means long-term and short-term loans from financial institutions, and funds requiring eventual repayment procured through bond issuance and through other open-market financing activities.



Shareholders' equity consists of paid-in capital, capital reserves, legal reserves, and retained earnings.

These items are classified as shareholders' equity based on the premise that shareholders and other investors have an economic interest not only in paid-in capital, but also in legal reserves and retained earnings.

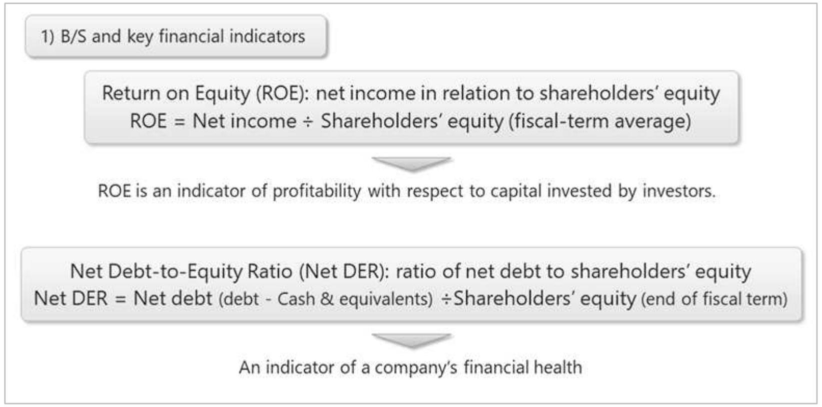


Next, let's look at two key financial indicators.

First, we will look at return on equity, or ROE.
ROE shows the proportion of the company's net income to shareholders' equity.

Companies operate with both shareholder capital (equity) and borrowed capital (debt).
Using these funds, they generate earnings which are used to pay interest on borrowed capital, and profits after tax belong to shareholders.

Accordingly, ROE (return on equity) indicates the rate of return that shareholders are getting from their investment in the company.



The second key financial indicator that we will look at is Net DER.

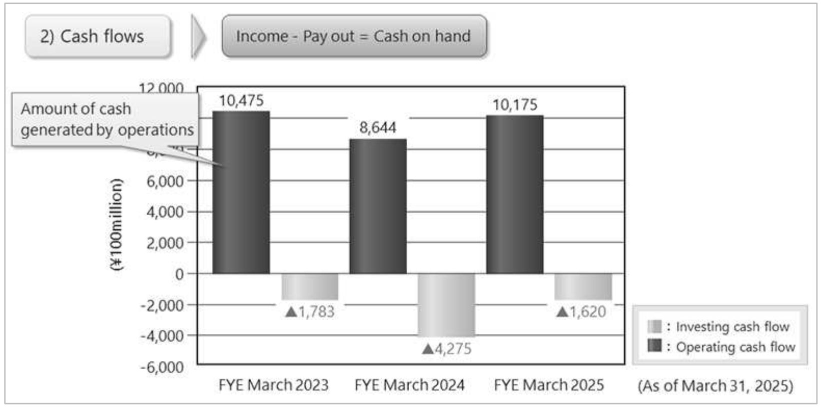
Net DER is the ratio of net interest-bearing debt (debt – cash & equivalents) to shareholders' equity and is an indicator of the company's financial health.

Lower Net DER values are said to reflect a healthier financial position.

If a company increases its interest-bearing debt and uses those funds to generate additional profits, the return on equity (ROE) will rise. On the other hand, assuming the level of cash and deposits remains constant, net interest-bearing debt will increase, which in turn raises the net debt-to-equity ratio (Net DER), thereby deteriorating financial soundness.

In Japan, amid ongoing corporate governance reforms, there is growing pressure on companies to improve capital efficiency, making ROE enhancement an important theme. However, a high ROE does not justify overreliance on interest-bearing debt. Greater repayment obligations can expose companies to financial risks in the event of rising interest rates or deteriorating business performance.

Therefore, it is essential to maintain an appropriate Net DER level in line with the business environment and pursue a well-balanced capital structure.



Next, let's take a look at the situation of the cash flow.

This bar chart shows investing and operating cash flow for three fiscal years.

"Cash flow" refers to the movement of cash representing the difference between a company's cash inflows and cash outflows.

The operating cash flow shown in the bar chart indicates the amount of cash generated from the company's business operations, such as through the sales of goods and the provision of services.

At Mitsui, the company uses "core operating cash flow" rather than "operating cash flow" as a quantitative indicator to measure cash-generating capability.

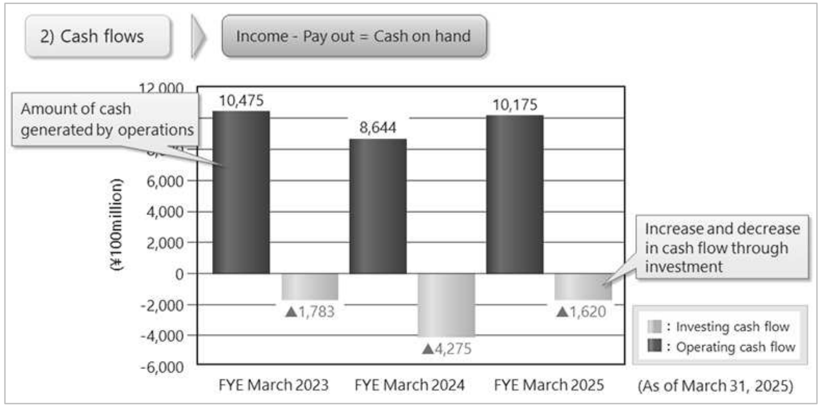
Core operating cash flow = Operating cash flow − Cash flow related to changes in working capital − Payments for lease liability repayments.

By excluding these one-off factors, it becomes possible to capture the company's fundamental cash-generating capability.

Core operating cash flow is also utilized as a benchmark for monitoring progress under the Medium-term Management Plan and for determining shareholder return policies. It plays a central role in balancing financial soundness with growth investments.

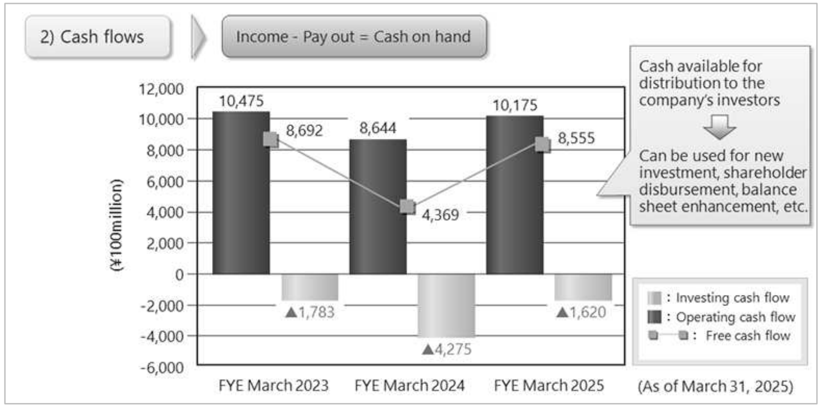
The investing cash flow indicates increases or decreases in cash amounts arising from sales or purchases of fixed assets and marketable securities, and other such activity.

Investing cash flow values are generally negative, reflecting cash outflows.



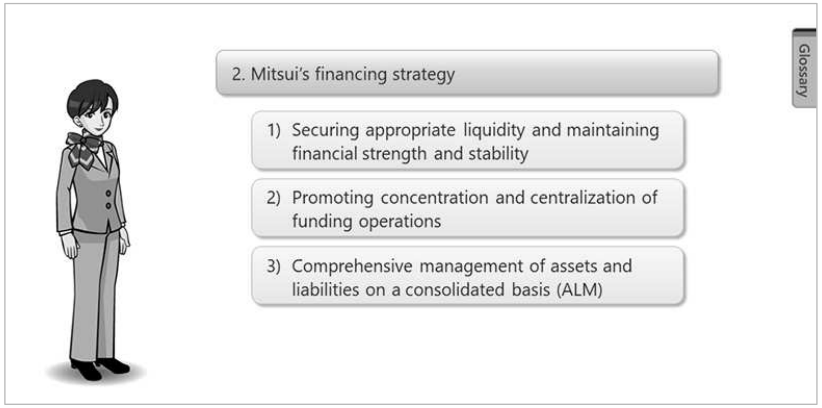
The green line now appearing in the bar chart indicates free cash flow across the three years shown.

Free cash flow is calculated as operating cash flow minus investing cash flow.



Free cash flow represents cash that can be freely distributed by a company to those that provide funds to the company, and it can be used for purposes such as pursuing new investment opportunities, providing returns to shareholders through dividends or share buybacks, or repaying borrowed funds.

2.2) Mitsui's Financing Strategy

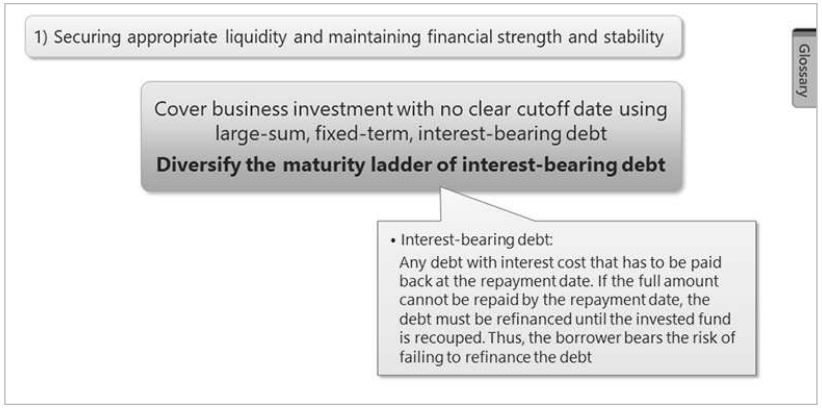


In this section, you will learn about Mitsui's strategy in regard to financing.

Our financing strategies are mainly based on the following three guiding principles:

1) Securing appropriate liquidity and maintaining financial strength and stability
2) Promoting concentration and centralization of funding operations
3) Comprehensive management of assets and liabilities on a consolidated basis (ALM)

Now, let's take a closer look at each of these practices.

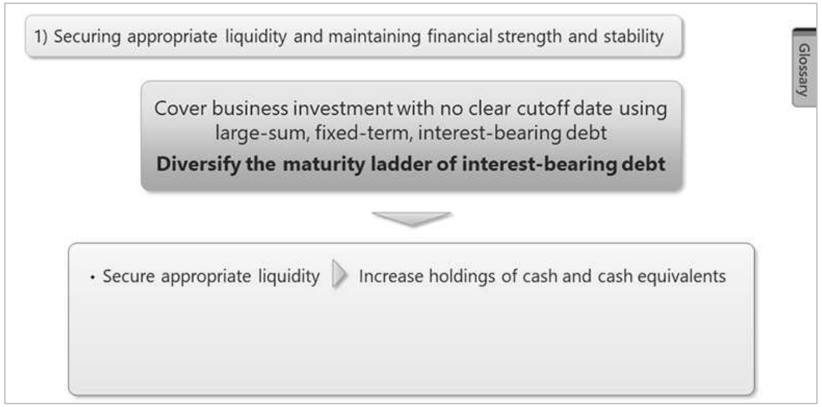


The first guiding principle of Mitsui's financing policy is "securing appropriate liquidity and maintaining financial strength and stability".

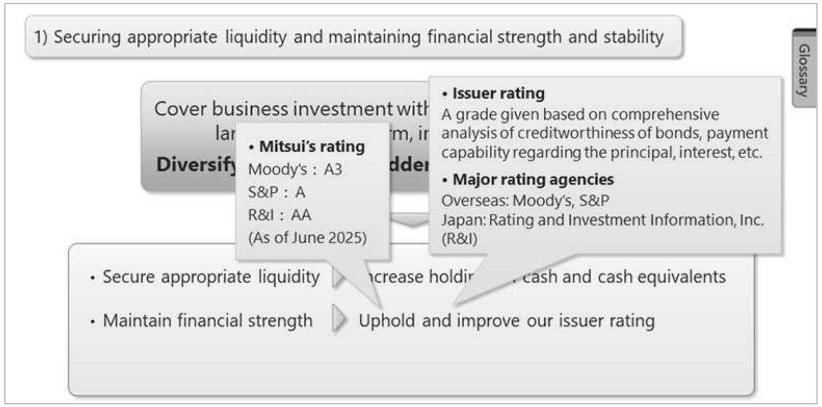
In addition to a general context of securing appropriate liquidity to maintain business activities, we apply a "refinancing business model" which is characteristic of sogo-shosha, whereby we finance business investments that have no clearly set timeframe using large-sum, fixed-term, interest-bearing debt. This principle reflects a distinctive characteristic of general trading and investment companies (*sogo-shosha*), that is, the fact that many projects involve long-term investments, part of which is financed through substantial interest-bearing debt with fixed repayment terms.

When the maturity date of interest-bearing debt arrives, the company must make repayment while continuing to roll over the debt until the invested funds are recovered. However, if financial conditions deteriorate significantly at the time of refinancing (rollover), there is a possibility that refinancing may not be feasible, and the company bears such risks.

Therefore, at Mitsui, rather than raising funds in line with the repayment dates of existing interest-bearing debt or the timing of new investment projects, the company proactively and strategically secures long-term stable financing while monitoring market trends. By doing so, it aims to diversify the maturity ladder of interest-bearing debt and minimize the impact of fluctuations in financial markets.



In pursuit of this policy, we aim to maintain assets having high liquidity, such as cash and cash equivalents, in order to maintain sufficient levels of liquidity. Accordingly, we will stand ready should we face an unexpected economic downturn or other such contingency.

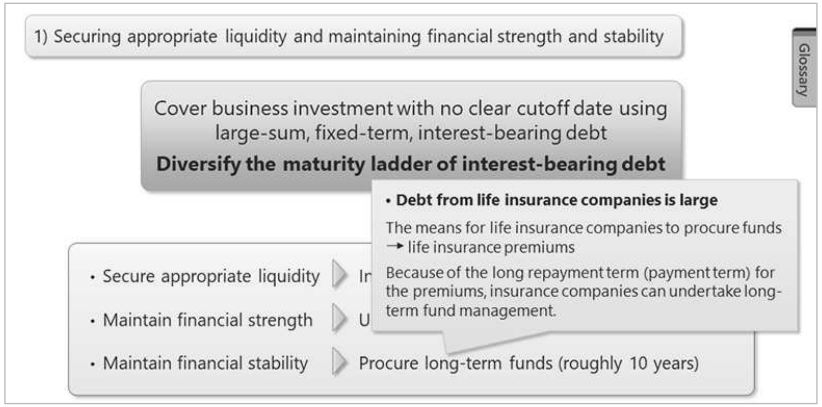


Secondly, we employ a growth strategy that calls for a more robust financial structure and sustainable growth, and in accordance with that strategy, we work to uphold and improve our issuer rating, as well as to maintain financial soundness.

The issuer rating is a widely used indicator of the financial soundness of a company, for which creditworthiness of bonds, capabilities to pay principal and interest, etc. are comprehensively analyzed and rated using simple symbols. Major rating agencies include Moody's and S&P in the world and Rating and Investment Information, Inc. (R&I) in Japan.

Mitsui maintains high long-term issuer ratings, with a single-A rating with both Moody's and S&P, a double-A rating with R&I.

In general, a lower issuer rating is considered an increase in the credit risk of the company, resulting in a rise in the cost of procuring funds. This makes the issuer rating an important indicator in terms of fund procurement.



The third point is to procure long-term funds.

We maintain financial stability by securing funds, mainly long-term funds.

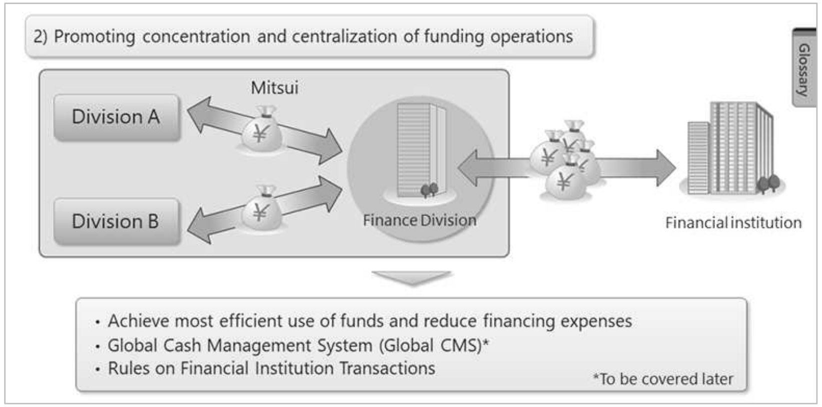
We acquire such funds through borrowings with maturities of over 10 years from Japanese life insurance companies, banks, and other financial institutions, and through the issuance of long-term corporate bonds that are redeemed in 15 to 20 years.

By building strong relationships with leading domestic and international financial institutions, we strive to reduce funding costs associated with indirect financing, while maintaining access to capital markets and securing funds through direct financing as well.

To which financial organizations do you think we owe large debts?

In addition to mega banks, we also have substantial borrowings from life insurance companies.

This is because life insurance companies collect premiums that are paid over long periods through their insurance contracts. Accordingly, this allows life insurance companies to undertake long-term asset management, which matches our company's need for long-term funds.



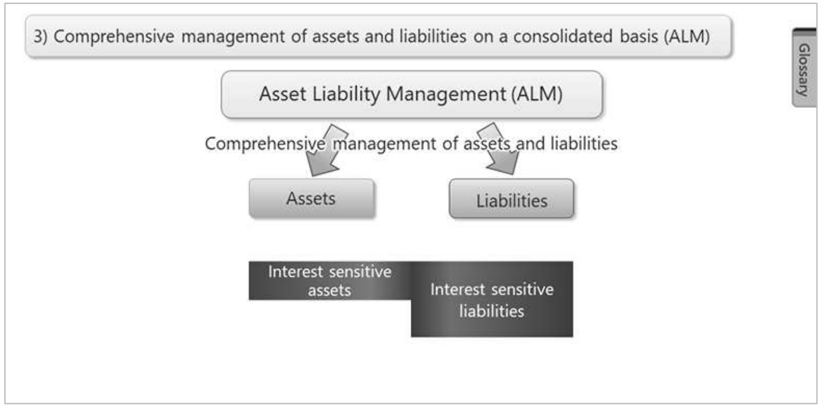
Next, let's look at the second guiding principle of Mitsui's funding policy, "Promoting concentration and centralization of funding operations".

To enhance overall funding efficiency across the corporate group, it is essential to manage financing and fund operations in a centralized and disciplined manner, rather than at the level of individual business divisions or locations.

At Mitsui, transactions with financial institutions are centrally managed and executed by the Finance Division. This approach maximizes the economies of scale in fundraising and enables the optimization of interest rates and transaction terms.

Furthermore, centralized cash management makes it easier to monitor the group's overall cash position, contributing to the effective use of surplus funds and the stabilization of cash flow.

At Mitsui, a dividend guideline has been established whereby subsidiaries are expected to maintain a target payout ratio of 100% in principle, and affiliated companies at 50% or more, thereby promoting the return of funds to the Head Office through profit distribution within the group. In addition to these policies, the Finance Division takes the lead in formulating and implementing financial strategies to enhance overall group funding efficiency and maintain financial soundness.



Next, let's look at comprehensive management of assets and liabilities on a consolidated basis.

The asset-liability management (ALM) process is a method of comprehensively managing the company's assets and liabilities.

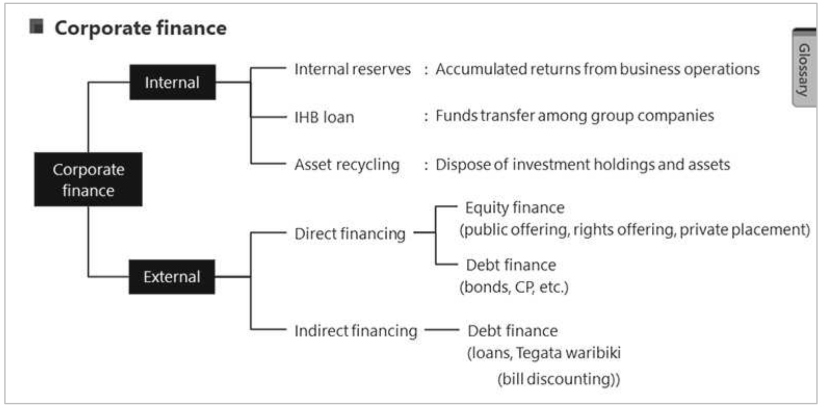
Through the ALM, it is essential to comprehensively monitor liquidity, interest rate risk, and foreign exchange risk in order to enhance both financial stability and efficiency.

The ALM is a tool that enables companies to understand and analyze the degree to which company assets and liabilities are exposed to risk emerging from changes in the financial environment, such as fluctuation of interest rates or exchange rates.

This makes it possible to assess how vulnerable a company's financial structure is with respect to external conditions.

In particular, when there is a difference in interest rate sensitivity between assets and liabilities, an "ALM mismatch" can occur, potentially causing significant impacts on earnings and cash flow due to interest rate fluctuations. Given the nature of Mitsui's business, sensitivity to interest rate changes cannot be ignored, and a cautious approach is required in funding and investment policies.

To appropriately address these risks, we determine and comprehensively manage the optimal combination of assets and liabilities, utilizing hedging transactions and periodically reviewing the composition of assets and liabilities to minimize risk, while aiming to reduce funding costs and maximize returns through more efficient asset management.



Next, we will touch on the subject of corporate finance and project finance.

Corporate finance refers to the raising funds that are needed to engage in business activities based on corporate credibility, and of asset liability management (ALM).

Corporations can source funds either through internal channels, whereby funds are directly procured from within the company, or through external channels, whereby funds are procured from individuals, other companies, financial institutions, or other entities.

Internal financing refers to a method by which a company generates funds by utilizing its own resources rather than relying on external financing. Examples include retained earnings, the accumulation of profits through corporate efforts, and the cash retention effect realized by recording expenses without recording cash expenditures, such as depreciation.

In addition, the use of in-house banking centers (IHB centers), which is a mechanism for efficiently reallocating funds among group companies, is also important as part of internal financing. Through IHB, surplus funds within the group can be effectively utilized, reducing external borrowings and optimizing funding costs.

Furthermore, asset recycling also contributes to strengthening internal financing. Asset recycling refers to the sale of the company's investment interests and assets after examining factors such as business growth potential and opportunities for value enhancement through the exertion of Mitsui's functions, in order to more strategically use investment capital. This is one of Mitsui's major business models.

The second method is external financing, which involves raising funds from outside sources. External financing refers to a method by which a company obtains funds from external providers. It is classified into two types: direct financing and indirect financing.

Direct financing refers to a method in which lenders, such as individuals or companies, bear the risk and provide funds directly to borrowers, such as governments or corporations. Direct financing includes equity finance, whereby shareholder equity is raised through the issuance of new shares of stock for which, from the procuring company's perspective, there is no repayment deadline; and debt finance, whereby funds are borrowed by a company from investors through the issuance of corporate bonds, commercial paper (CP), etc., which have repayment deadlines.

Indirect financing refers to a method, whereby funds are indirectly borrowed from intermediate financial institutions such as banks, and the risks are borne by the lender, the intermediate financial institutions.

Loans from financial institutions, which is the most common way of procuring funds, and tegata waribiki (bill discounting) fall in the category of indirect financing. In Japan, tegata waribiki is mainly utilized by small-and-medium sized companies, because they can procure cash by having banks purchase tegata (negotiable instruments) before the maturity date with a discount.

External financing can meet funding needs that cannot be covered by internal resources alone, but it entails funding costs such as interest and dividends. Therefore, when selecting financing methods, decisions must be made from various perspectives, including capital cost, financial leverage, and optimization of capital structure.

	Corporate Finance	Project Finance
Repayment capital	Cash flow from the company as a whole	Project cash flow
Applied interest rate	Reflects company creditworthiness	Reflects project risk
Amount of procurable capital	Scope of company's creditworthiness	Scope of cash flow generated from the project
Procedures and costs for arranging finance	Requires relatively little time, and costs associated with procedures are also small	In some cases, requires significant time and costs

Glossary

Public Offering
Allotment of New Shares to Existing Shareholders
Allotment of New Shares to Designated Third Parties
Corporate Bond
Commercial Paper (CP)
Sponsors
Project Company

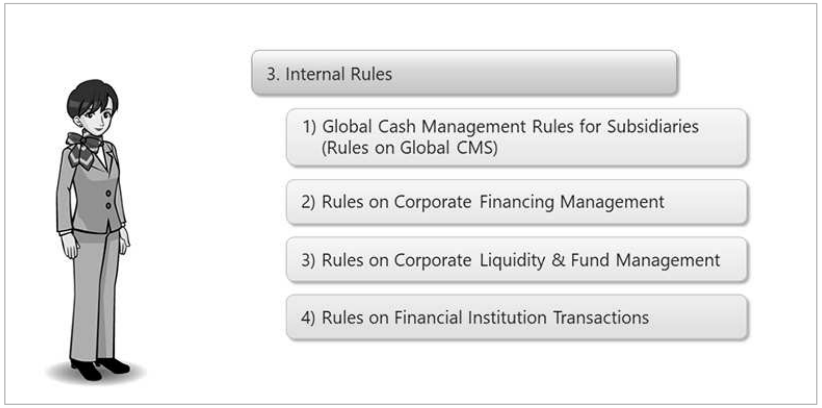
Next, let's look at project finance.

Project finance is a financing method that limits repayment resources to the cash flow created from a specific project. Repayment resources are not sought from any sources other than the cash flow and assets of the project in question.

Since project finance is a capital procurement method that relies on project cash flow for repayment capital, project finance limits the repayment obligations of sponsors. In addition, contracts entered into by project participants divide the risk contained within the project between them. This makes it possible to put together large-scale finance, which might be difficult to procure using the creditworthiness of sponsors alone.

Disadvantages include the fact that fund procurement costs are generally higher than corporate finance because financial institutions demand interest rates to match the risk of the project in question, and that it can take a large amount of time and work to arrange financing.

2.3) Internal Rules

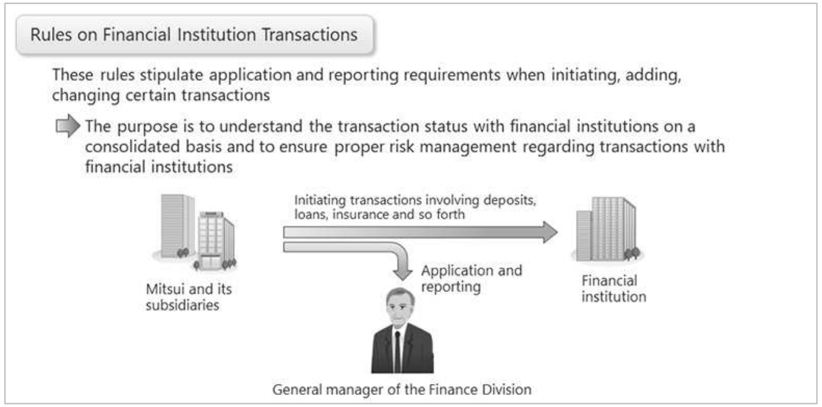


Next, we will look at an overview of the list of regulations managed by Mitsui's Finance Division, and explain the Rules on Financial Institution Transactions, which all employees are required to be aware of.

Internal rules are the fundamental rules and systems that apply company wide. The rules supervised by Mitsui's Finance Division include:

1) Global Cash Management Rules for Subsidiaries (Rules on Global CMS)
2) Rules on Corporate Financing Management
3) Rules on Corporate Liquidity & Fund Management
4) Rules on Financial Institution Transactions

In this section, we will focus on the Rules on Financial Institution Transactions.



These rules stipulate application requirements that must be adhered to in order to initiate, supplement, or modify certain transactions.

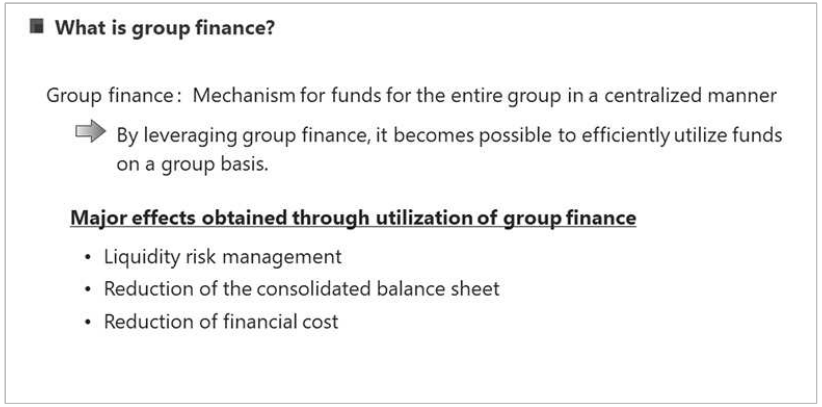
More specifically, these rules contain stipulations with regard to the initiation of business dealings with financial institutions (banks, securities companies) involving deposits, loans, guarantees, and other such matters. The rules state that before engaging in any such activity, an employee of Mitsui or its consolidated subsidiary must submit an application to the General Manager of Mitsui's Finance Division, and report such matters to that manager.

The purpose of these rules is that, under the supervision of the CFO (the officer in charge of corporate staff units, including the Finance Division), the financial organization of Mitsui (also called the Global Finance Team) leads transactions with financial institutions on a consolidated basis as a central contact point for financial institution, and contributes to enhancing corporate value through asset protection and the improvement and optimization of financial transaction terms.

2.4) Rules on Global CMS

In this section, you will learn about the Global Cash Management Rules for Subsidiaries (Rules on Global CMS). The Rules on Global CMS is applied to domestic offices and branches, overseas trading subsidiaries, overseas branches, and consolidated subsidiaries (except for listed companies) within the Mitsui & Co. Group.

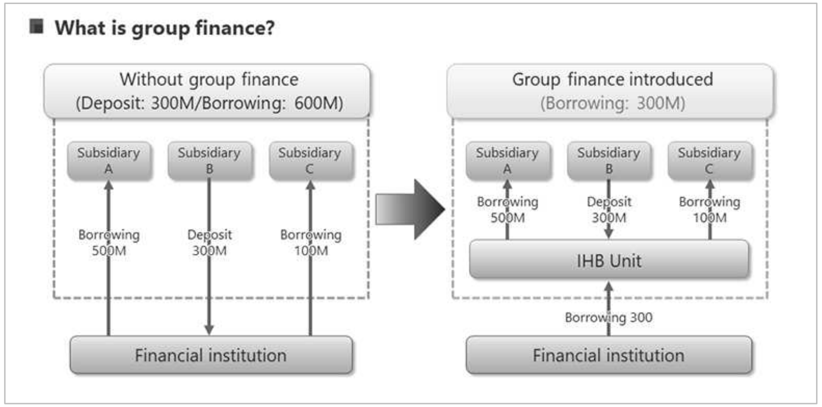
Before explaining the Rules on Global CMS, we will describe the concept of group finance — a key element of the Rules on Global CMS — and the tool that supports it, the Zero Balance Account (ZBA).



Group finance is a system with which the group's overall funds are centrally managed and surpluses and shortages of funds are sdjusted among group companies to achieve efficient utilization of funds.

By introducing group finance and implementing centralized funding management, the group can achieve more efficient use of funds, resulting in benefits such as liquidity risk management, reduction of the consolidated balance sheet, and reduction of financial costs.

Now, let us explain in detail how group finance enables liquidity risk management, reduction of the consolidated balance sheet, and financial cost reduction across the entire group.



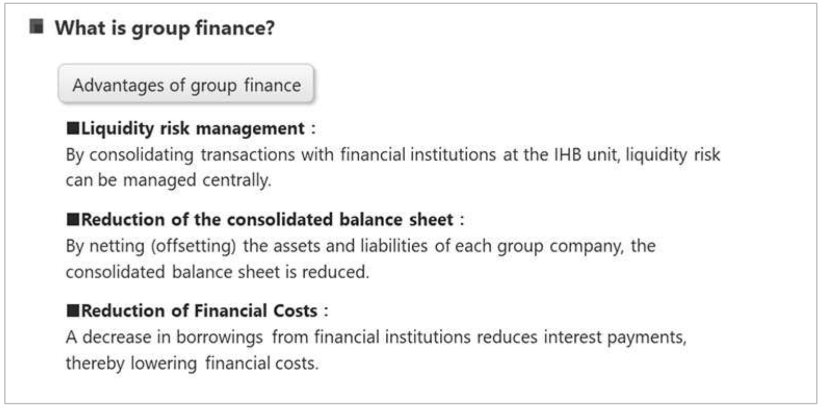
The concept of group finance is to centrally manage the funds of companies within a group and utilize them as if they were a single pool of funds. By consolidating the group companies' financial transactions at a in-house banking center and performing netting (offsetting), it becomes possible to streamline funding transacetions with external financial institutions.

In the Mitsui & Co. Group, group finance is operated by consolidating the financial transactions of group companies located in various regions into five global in-house centers (IHB centers), supervided by Finance Division.

The above diagram shows the cash flow of transactions between each group company and a financial institution, comparing cases where group finance is introduced and where it is not.

In the left diagram, where group finance is not introduced, each group company must individually borrow from and make deposits with external financial institution.

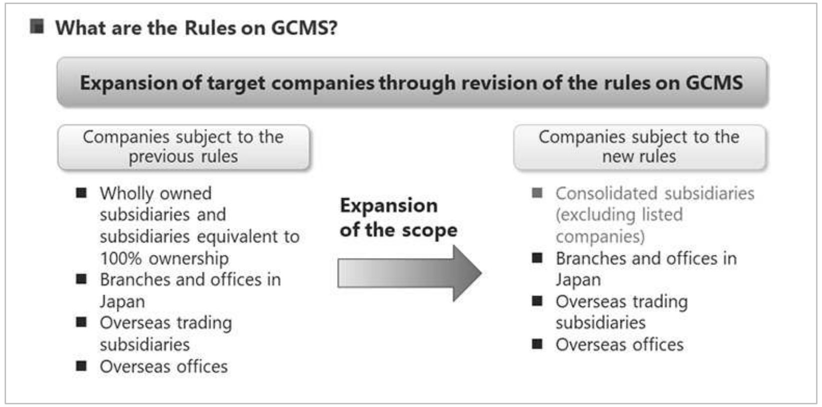
In the right diagram, where group finance is introduced, each group company borrows from and make deposits not with an external financial institution but with the IHB center, and only the IHB center deals directly with the external financial institution.



By serving as a hub for group companies and consolidating transactions with financial institutions, the IHB center enables centralized management of liquidity risk across the entire group.

Furthermore, deposits (financial assets) and borrowings (financial liabilities) that group companies previously held individually with external financial institutions are now consolidated at the IHB center. Through netting (offsetting) of each group company's assets and liabilities, the overall amount of borrowings from external financial institutions is reduced.

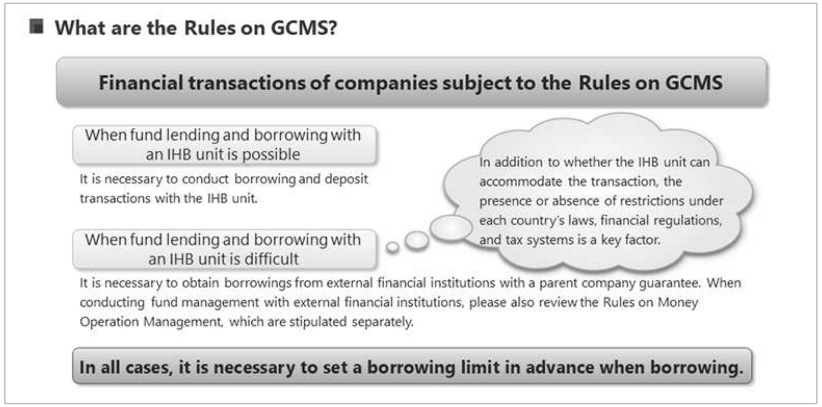
As a result, the company group can achieve reduction of the consolidated balance sheet and reduction of financial costs. This concludes the explanation on the concept of group finance.



Next, we will explain the "Global Cash Management Rules for Subsidiaries (Rules on Global CMS)" in Mitsui & Co. Group.

The Rules on Global CMS were established in April 2007 with the aim of enhancing corporate value on a consolidated basis through measures such as ensuring appropriate liquidity, efficient funding management for consolidated optimization based on forecasting and monitoring of funding needs, and reducing financial costs. After that, a major revision was implemented in April 2026.

As a result of this revision, the target companies subject to the Rules on Global CMS was expanded to include domestic offices and branches, overseas trading subsidiaries, overseas branches, and consolidated subsidiaries (except for listed companies) of Mitsui & Co. Group.



For hard currencies, targrt companies subject to the Rules on Global CMS must borrow from and make deposits with the corresponding IHB center, unless there are specific restrictions such as legal, financial regulatory, or tax constraints.

On the other hand, when the borrowing currency is a soft currency, or when there are any restrictions on borrowing or depositing with the IHB center and it is deemed difficult to borrow from and make deposits with the IHB center, the target company must borrow from external financial institutions with a parent company guarantee instead.

When a company borrows from an IHB center or from an external financial institution with a parent company guarantee, the unit supervising the target company must apply to the Finance Division for a borrowing limit in advance.

For deposits with an IHB center, no application to the Finance Division is required. However, when conducting fund management with external financial institutions, it is necessary for the supervisory unit to apply for a fund management limit in accordance with the separately stipulated Rules on Corporate Liquidity & Fund Management.

What are the Rules on GCMS?

Details of fund transactions with IHB unit

	Borrowing from IHB unit by target companies	Depositing with IHB unit by target companies
ZBA*	**O/D borrowing** Transactions conducted automatically via ZBA with the IHB unit, for borrowing and repayment on a daily basis.	**O/N deposit** Transactions conducted automatically via ZBA with the IHB unit, for depositing and withdrawal on a daily basis.
Short term	**Short-term borrowing** Borrowing under individual contracts with the IHB unit, from the borrowing date to the final repayment date, within one year.	**Short-term deposit** Depositing under individual contracts with the IHB unit, from the deposit date to the final withdrawal date, within three months.
Long term	**Long-term borrowing** Borrowing under individual contracts with the IHB unit, from the borrowing date to the final repayment date, exceeding one year.	N.A.

ZBA : An abbreviation for Zero Balance Account. It refers to an automated transfer and borrowing tool provided by financial institutions.

Target companies that are subject to the Rules on Global CMS and are able to borrow from and make deposits with an IHB center are, in principle, required to borrow from and deposit the funds with the corresponding IHB center, rather than with external financial institutions.

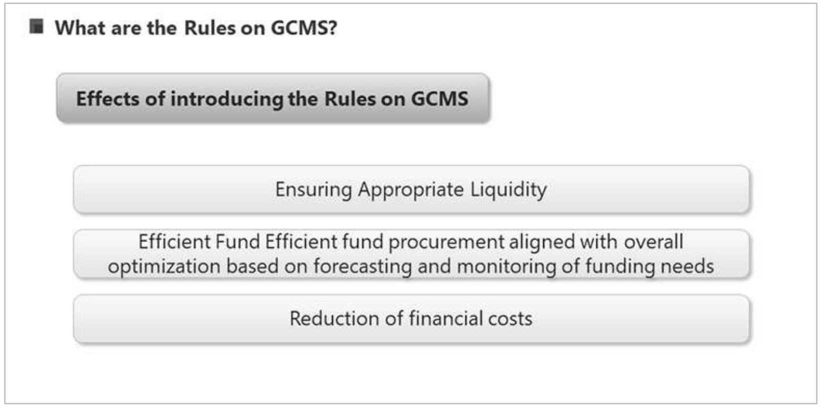
Here, we will explain the specific details of borrowings from and deposits with the IHB center.
First, borrowing:
Borrowing is broadly divided into three types:

1. Overdraft borrowing (O/D borrowing):
   A transaction under which borrowing and repayment are conducted automatically on a daily basis through ZBA with the IHB center. ZBA is an automated transfer and borrowing tool provided by financial institutions.
2. Short-term borrowing:
   Borrowing with a final repayment date within one (1) year from the borrowing date agreed upon separately with the IHB center.
3. Long-term borrowing:
   Borrowing with a final repayment date exceeding one (1) year from the borrowing date agreed upon separately with the IHB center.

Next, deposits:
Deposits are broadly divided into two types:

1. Overnight deposit (O/N deposit):
   A transaction under which deposits and withdrawal are made automatically on a daily basis through ZBA with the IHB center.
2. Short-term deposit:
   A deposit with a final withdrawal date within three (3) months from the deposit date agreed upon separately with the IHB center.

Note that both O/D borrowing and O/N deposit are transactions conducted automatically through ZBA. Depending on the accrued amount of the transactions with the IHB center, the target company's balance may result in either a borrowing position or a deposit position.

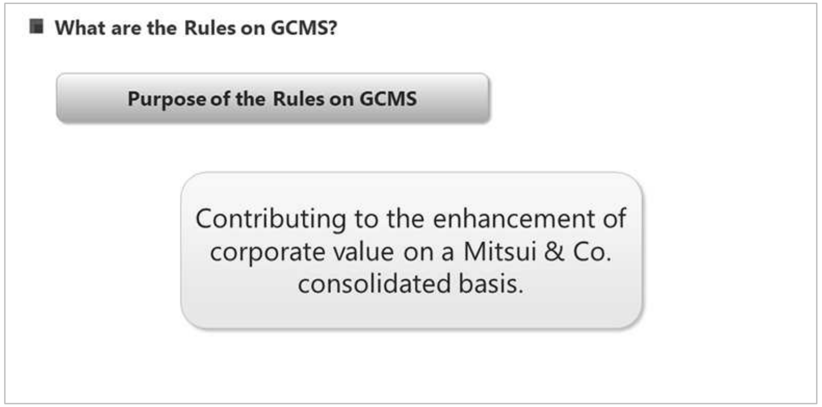


As explained in the section about the advantages of group finance, the introduction of the Rules on Global CMS brings three major effects to the Mitsui & Co. Group.

First, ensuring appropriate liquidity.
By ensuring financing management and diversifying repayment dates through IHB centers, we aim to minimize funding risks on a consolidated basis and continue lending to the target companies as much as possible (i.e., securing liquidity). In times of financial instability, it is also possible to utilize credit lines of IHB centers from financial institutions, which is a significant advantage.

Second, efficient financing management for consolidated optimization based on forecasting and monitoring of funding needs.
Through lending and borrowing transactions with target companies, IHB centers can monitor actual funding needs for each target company and on a consolidated basis, thereby improving the accuracy of funding forecasts. Higher forecast accuracy helps avoid excessive credit line settings with external financial institutions and leads to reduced financial costs.

Third, reduction of financial costs.
By netting deposit positions and borrowing positions of target companies, the amount of external funding required on a consolidated basis can be reduced. This results in a reduction of the consolidated balance sheet, lower interest payments, and ultimately contributes to maintaining and improving external credit ratings.

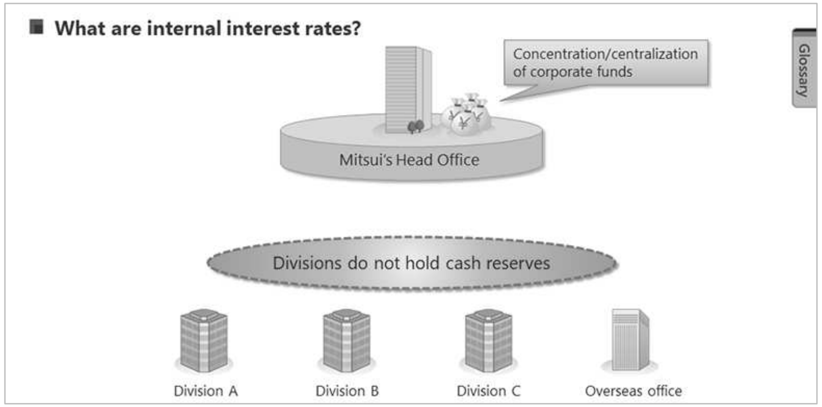


Through the introduction of the Rules on Global CMS, Mitsui & Co. on a consolidated basis can expect "ensuring appropriate liquidity," "efficient funding management for overall optimization based on forecasting and monitoring of funding needs," and "reduction of financial costs."

The purpose of the Rules on Global CMS is to contribute to the enhancement of corporate value of Mitsui & Co. on a consolidated basis by promoting efficiency in lending and borrowing.

2.5) Internal Interest Rates System

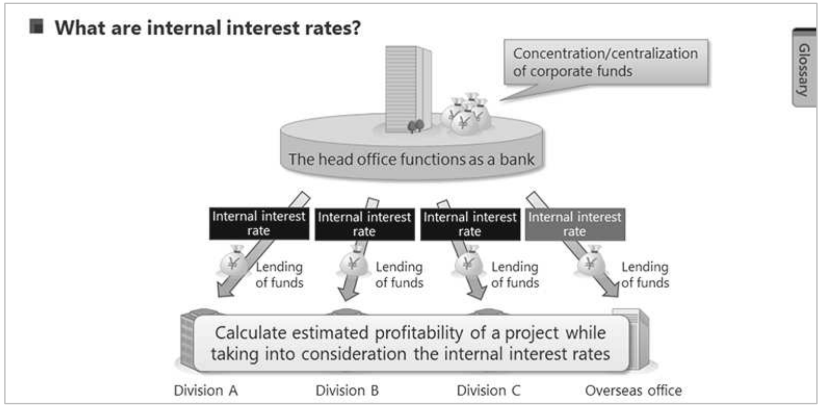
In this section, we will look at the internal interest rate system at Mitsui.



First, let's look at what internal interest rates are.

Mitsui's financing strategy calls for us to concentrate and centralize funding operations.

To that end, Mitsui's Head Office centrally controls company funds; meanwhile, Mitsui divisions and offices do not hold cash reserves.



The interest rates applicable are the internal interest rates. Therefore, Mitsui's Head Office effectively acts as an "internal bank," providing loans to each branch and office.

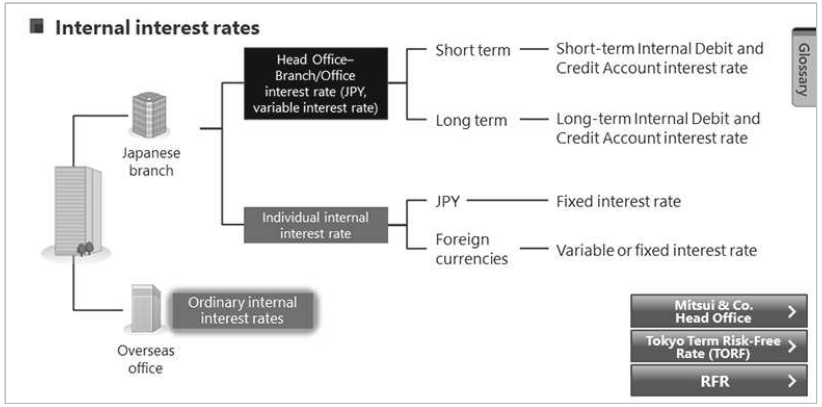
The main methods of lending funds between the Head Office and domestic branches and offices are "Internal Debt and Credit Account" and "Individual Internal Debts."

When the Head Office lends funds to branches or offices, the applicable rate is the "internal interest rate."

Generally speaking, an interest cost is incurred when a company borrows funds.

Therefore, each Mitsui division, office, or branch analyzes the profitability of its business while taking into consideration the internal interest rates.

Internal interest rates can be split into "the standard interest rate + the spread". A risk free rate (RFR), such as Term SOFR or TORF, is used for the standard interest rate. The margin on the loaned funds is referred to as the spread.s



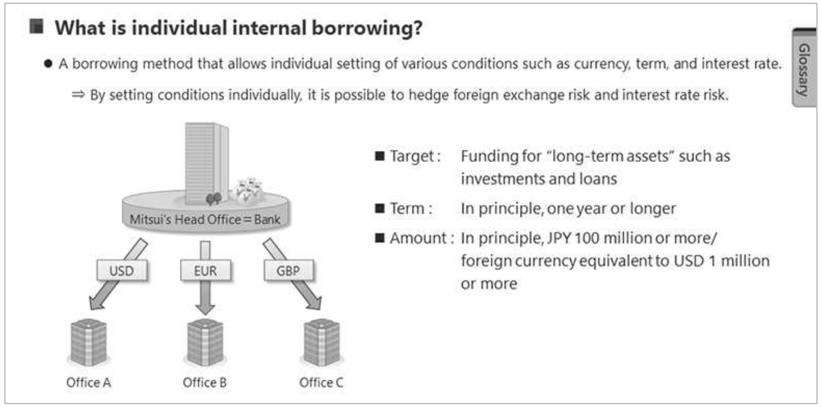
There are three types of internal interest rate: “internal debit and credit account interest rate,” “individual internal interest rate,” and “ordinary internal interest rate.”

The internal debit and credit account interest rate is the rate applied to automated lending and borrowing transactions between Mitsui’s Head Office and its branches and offices via the system. The internal debit and credit account interest rate is a yen-denominated variable interest rate and is categorized as “short-term” or “long-term” depending on the nature of the assets.

The individual internal interest rate is the rate applied to lending and borrowing under individual internal debts agreements between the Head Office and branches and offices.

The individual internal interest rate may be a yen-denominated fixed interest rate, foreign currency variable interest rate, or foreign currency fixed interest rate. Details on individual internal debts will be explained on the next page.

The ordinary internal interest rate is the rate applied to lending and borrowing between Mitsui’s domestic branches/offices and overseas offices, mainly used for reciprocal account settlements (kokei settlements). The ordinary internal interest rate is subject to change in line with fluctuations in financial conditions in Japan and overseas.



Individual internal debts refer to one of the borrowing methods between Mitsui’s Head Office and its branches and offices, allowing each branch or office to set various conditions, such as a currency, term, and interest rate, individually according to its preferences.

The purpose of individual internal debts is to hedge foreign exchange risk and interest rate risk. Since all internal debit and credit account transactions are conducted in Japanese yen with a floating interest rate, branches and offices that wish to borrow in a currency or interest structure aligned with the nature of their assets need to use individual internal borrowing.

Unlike internal debit and credit account transactions, which are automatically processed by the system, individual internal debts require the borrowing branch/office to obtain prior confirmation with the Finance Division and submit an application form.

Individual internal debts target “long-term assets” such as investments and loans. As a general rule, the borrowing period is one year or longer, and the amount is at least JPY 100 million for yen-denominated borrowings or USD 1 million equivalent for foreign currency borrowings.

For overseas operations, borrowings are also conducted within overseas offices through the internal debit and credit account method or individual internal debts method. However, the supported currencies and operating methods vary by branch/office, and prior confirmation is necessary.

[Glossary]

・Public Offering

An increase in capital through the issuance of new shares in the form of a public offering, widely subscribed to by the general public, and the issue price for a share is determined by market price (market value).

・Allotment of New Shares to Existing Shareholders

A capital increase where the rights to subscribe to new shares are granted to all existing shareholders.

・Allotment of New Shares to Designated Third Parties

A method of increasing capital through the granting of the right to subscribe to new shares to designated third parties, such as customers, financial institutions, and company directors and employees.

・Corporate Bond

Corporate bonds are issued by corporations for the purpose of raising medium to long term funds.

・Commercial Paper (CP)

Commercial paper is a short-term debenture issued by a corporation for the purpose of raising short-term funds.

・Sponsors

Equity investors in project companies.

・Project Company

Project companies are established by sponsors and serve as the borrowing entities in project finance. In general, a project company is set up as a special purpose company (SPC) dedicated to the project.

・Mitsui & Co. Head Office

A collective term for Mitsui & Co.'s Head Office Corporate Staff Divisions. In practice, financial transaction accounts are used.

・Tokyo Term Risk-Free Rate (TORF)

It is an interest rate benchmark that involoves almost no credit risk of financial institutions and provides term rates (1, 3, and 6 months).

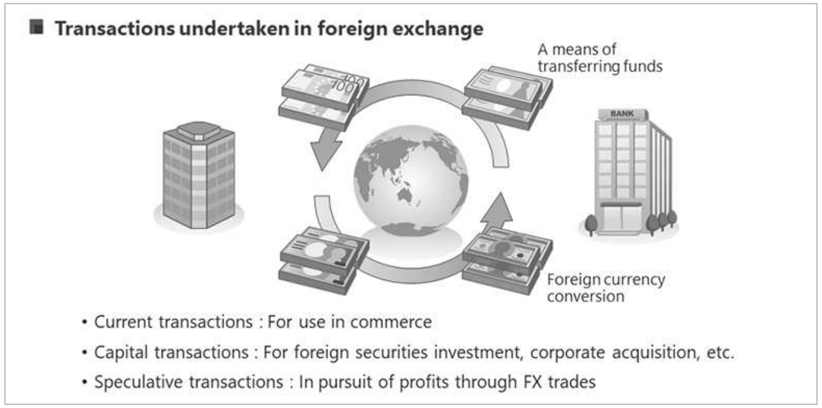
・RFR

RFR stands for "risk free rate," which is an interest rate that hardly reflects a bank credit risk in fund procurement, etc., and is supposed to be used after the publication of LIBOR is ceased. An uncollateralized overnight call rate (TONA) published by the Bank of Japan has been designated as an RFR for Japanese yen.

3. Foreign Currency Exchange

In this chapter, you will learn about foreign currency exchange.
First, let's look at foreign exchange markets and currency exchange rates.

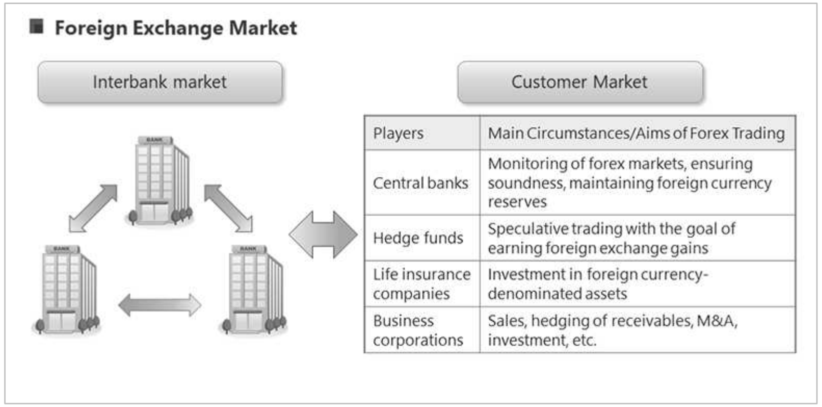
3.1) Foreign Currency Exchange and Foreign Exchange Markets



The term 'foreign currency exchange' is used to refer either to the mechanism by which funds denominated in different currencies can be transferred such as when a transaction occurs between an entity in one country and another entity in a second country, or it can refer to the actual buying and selling of foreign currencies arising from such a transaction.

Here, we look at various types of currency exchange transactions such as:

- current transactions concluded in regard to commerce;
- capital transactions concluded to engage in foreign securities investment, to acquire corporations, or other such purposes, and;
- speculative transactions in which currency is bought and sold in hopes of making a profit.

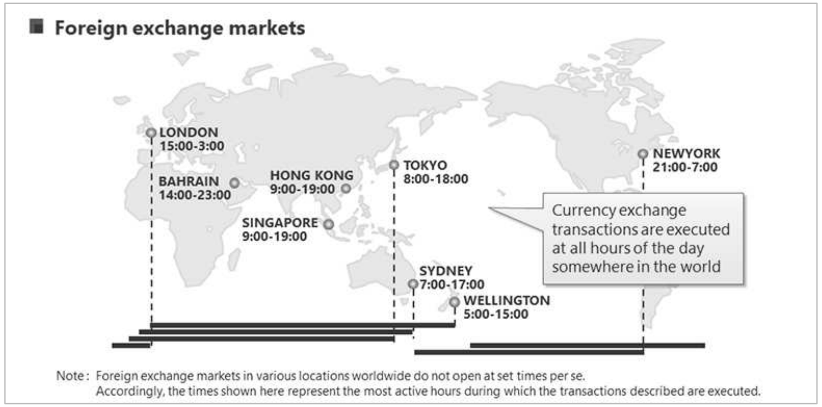


Players	Main Circumstances/Aims of Forex Trading
Central banks	Monitoring of forex markets, ensuring soundness, maintaining foreign currency reserves
Hedge funds	Speculative trading with the goal of earning foreign exchange gains
Life insurance companies	Investment in foreign currency-denominated assets
Business corporations	Sales, hedging of receivables, M&A, investment, etc.

Foreign exchange markets provide a venue in which foreign currencies can be converted for one another.

These markets are not situated in buildings, trading floors, or in other physical locations that resemble securities exchanges, but rather take the form of abstract markets where trades are executed by telephone or through computer terminals, internet connections, or other such means.

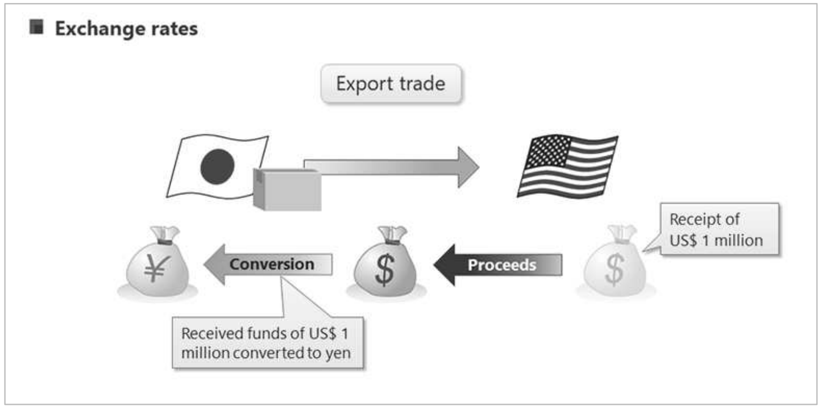
Foreign exchange markets are divided into interbank markets for transactions between banks, and customers markets where banks engage in transactions with other market players, including corporations, hedge funds, life insurance companies, and central banks.



Foreign exchange markets operate from Monday to Friday.

Daily market activity begins with the Wellington market in Oceania, then successively moves on to the Sydney market, the Tokyo market, the London market, and finally to the New York market.

There are other markets besides those listed here, and the time differentials between the various markets enable currency exchange transactions to be performed around the clock as respective market opening and peak times transition from one market to the next in succession around the globe.

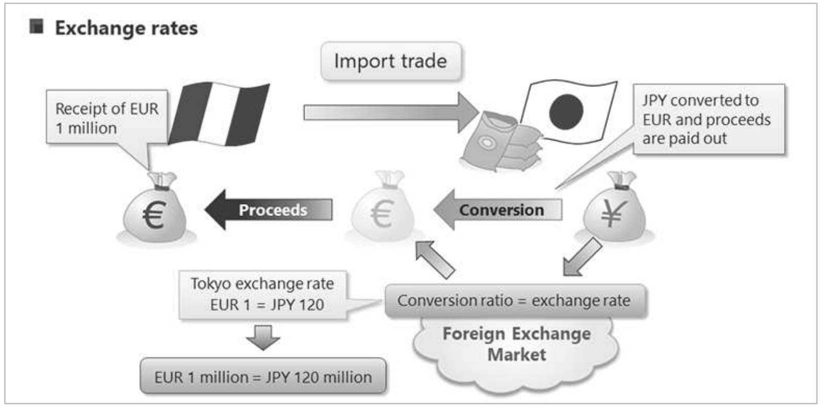


Next, let's consider the impact that foreign exchange markets have on Mitsui's business.

In so doing, we will consider, as an example, trade involving goods exported from Japan to the US.

First, the goods are delivered from Japan to the US, and proceeds from the sale are received in Japan in the form of one million US dollars.

The Japanese company receiving US dollars wants to convert those funds to Japanese yen, its home currency. Therefore, it will generally sell the dollars it has received, and buy yen in return.



Import trade involves much the same process.

For instance, a company in Japan sources goods from a company in France, and the company in Japan makes payment denominated in euros.

Accordingly, the company in Japan sells yen, buys one million euros, and sends the euro-denominated proceeds to the company in France.

In such a transaction, Japanese yen is converted to the respective foreign currency based on the currency conversion ratio determined by foreign exchange markets.

Such currency conversion ratios are referred to as the “exchange rates.”

For instance, let's assume that the yen-to-euro exchange rate stands at 120 yen to the euro. At that exchange rate, a payment of one million euros would call for 120 million yen.

Such exchange rates, however, are ever-changing based on the fluctuating supply-demand balance of the respective currencies, monetary policies of each country, and various news from around the world.

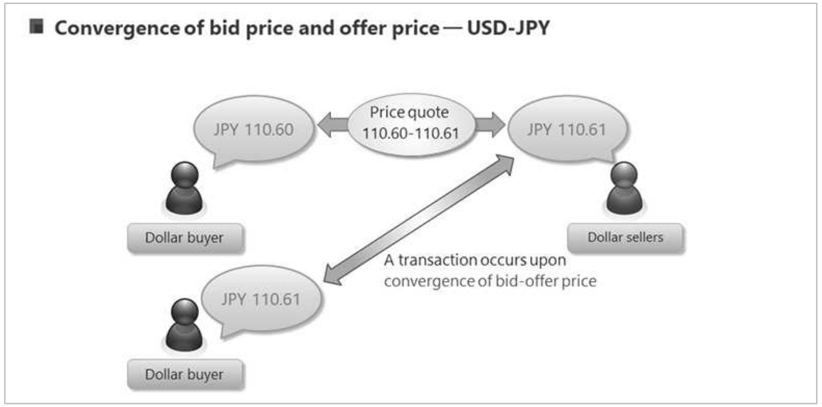
Next, let's look at how currency exchange rates are determined.

A countless number of individuals take part in the foreign exchange markets, attempting to either buy or sell currencies.

For instance, let's consider the buying and selling of dollars and yen.

Those wishing to buy dollars with yen want to do so using as little yen as possible. Likewise, those wishing to sell dollars in exchange for yen hope to get the most yen possible for the fewest number of dollars.

In the foreign exchange market, among the countless buy and sell rates available, the most "inside" rates — that is, the highest bid and the lowest offer — are displayed. This is called a "quote," and the buy quote is referred to as the bid, while the sell quote is called the offer (or ask).



A bid-offer price quoted as 110.60/110.61 would merely indicate that there is a potential buyer willing to pay 110.60 yen to the dollar, and a potential seller willing to sell dollars at 110.61 yen to the dollar.

For a transaction to take place in this situation, however, there would need to be a buyer willing to purchase dollars at 110.61 yen to the dollar.

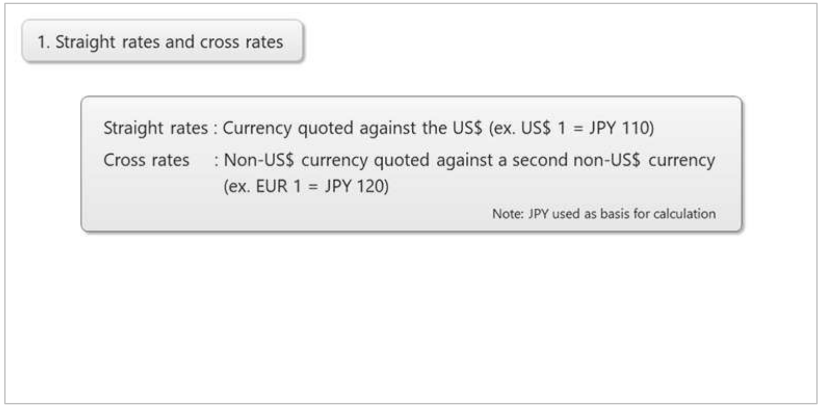
A transaction thereby occurs at the price where a given bid price and a given offer price converge.

The foreign exchange markets overall involve a vast number of market participants who repeatedly execute countless trades in an environment of continuously fluctuating bid-offer price quotes.

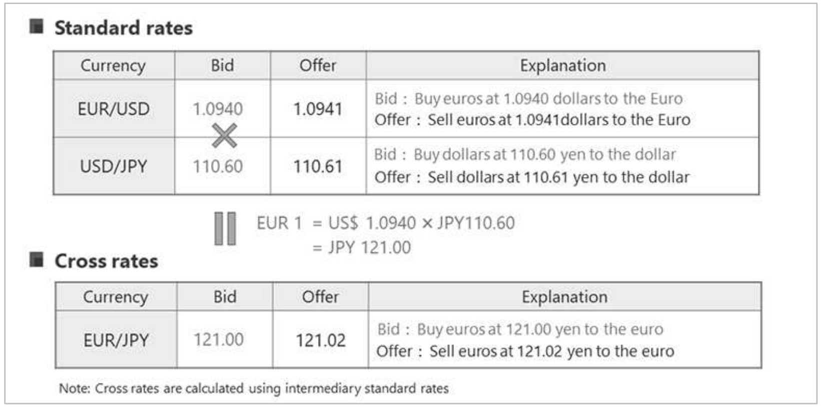
3.2) Conventions of Foreign Exchange Markets

Next, you will learn about some of the conventions used in foreign exchange markets.

Specifically, we will look at:
1.) Straight rates and cross rates, and;
2.) Foreign exchange quotes using foreign currencies and home currency.



First, we will look at standard exchange rates and cross exchange rates.
Straight rates are exchange rates that express the value of one currency against the US dollar.
Foreign exchange markets express currency values against US dollars.
Cross rates, on the other hand, are exchange rates for one non-US dollar currency against a second non-US dollar currency.
For instance, this would include an exchange rate expressed as 120 yen to the euro, for transactions involving direct exchange between two non-US dollar denominated currencies.
Cross rates are calculated from standard US dollar rates of the respective currencies.


■ Standard rates

Currency	Bid	Offer	Explanation
EUR/USD	1.0940	1.0941	Bid : Buy euros at 1.0940 dollars to the Euro Offer : Sell euros at 1.0941dollars to the Euro
USD/JPY	110.60	110.61	Bid : Buy dollars at 110.60 yen to the dollar Offer : Sell dollars at 110.61 yen to the dollar

EUR 1 = US$ 1.0940 × JPY110.60
= JPY 121.00

■ Cross rates

Currency	Bid	Offer	Explanation
EUR/JPY	121.00	121.02	Bid : Buy euros at 121.00 yen to the euro Offer : Sell euros at 121.02 yen to the euro

Note: Cross rates are calculated using intermediary standard rates

As shown here, for instance, the bid and offer prices for currency exchange between euros and yen are calculated by multiplying the respective bid or offer price for euro-dollar exchange by that of dollar-yen exchange.

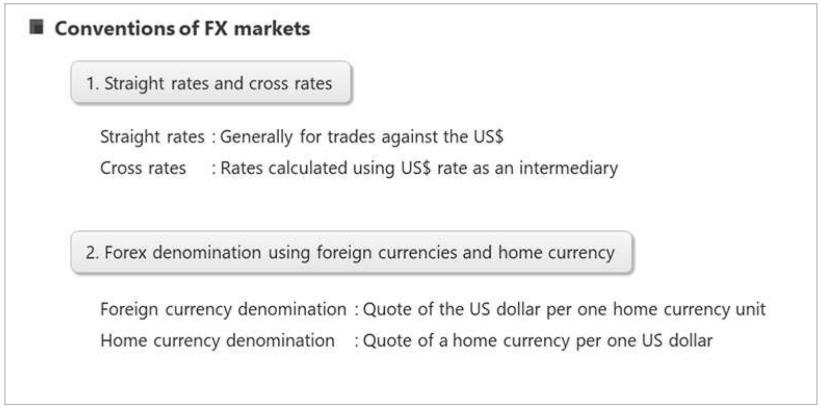
Next, we will look at how exchange rates can be quoted in either foreign currencies or the home currency.
First, quotes in a foreign currency normally indicate the price of the home (domestic) currency unit in terms of US dollars.

With quotes denominated in a foreign currency, the respective forex currency pair shows the home (domestic) currency first and US dollar next, thereby indicating how many US dollars can be bought with one unit of the home currency.

Exchange rates expressed in the home currency units indicate the price of a single US dollar in terms of units of the domestic currency.

With quotes using home currencies, the respective forex currency pair shows the US dollar first, followed by the domestic currency.

Note that according to the market conventions, the order of the currencies to be displayed is "EUR, GBP, AUD, NZD, USD, CAD, CHF, JPY". Therefore, the transactions of Japanese yen will always be displayed in accordance with the home currency denomination method.

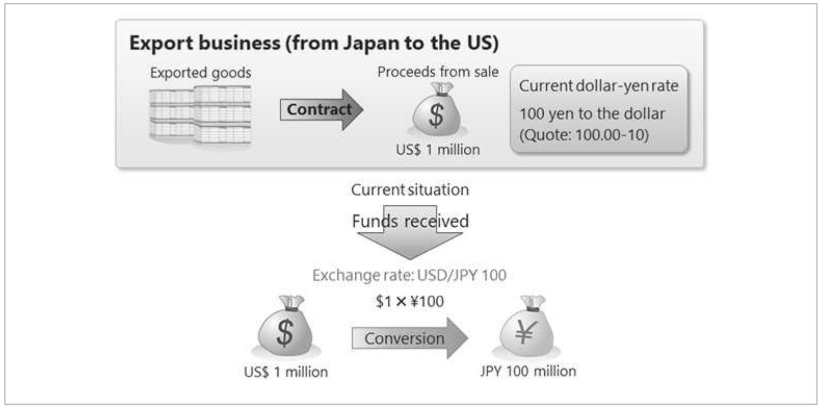


You should now have a better understanding of two conventions used in foreign exchange markets.

3.3) Forex Trading

In the previous sections, you learned about foreign exchange markets and foreign exchange rates.

Next, you will learn about risks posed by fluctuating exchange rates in the context of export business arrangements.

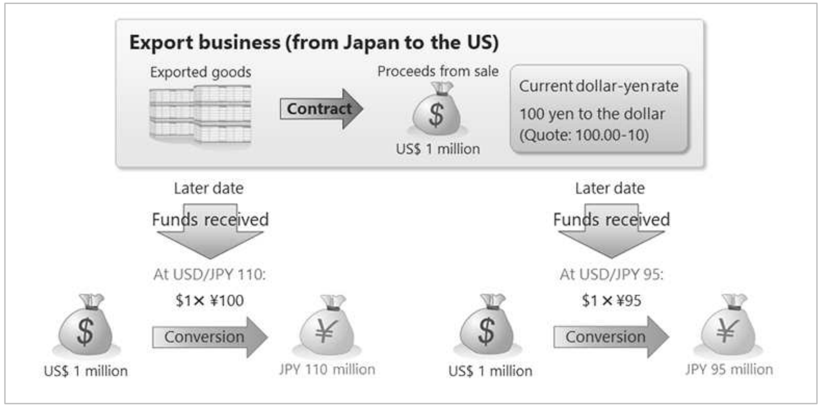


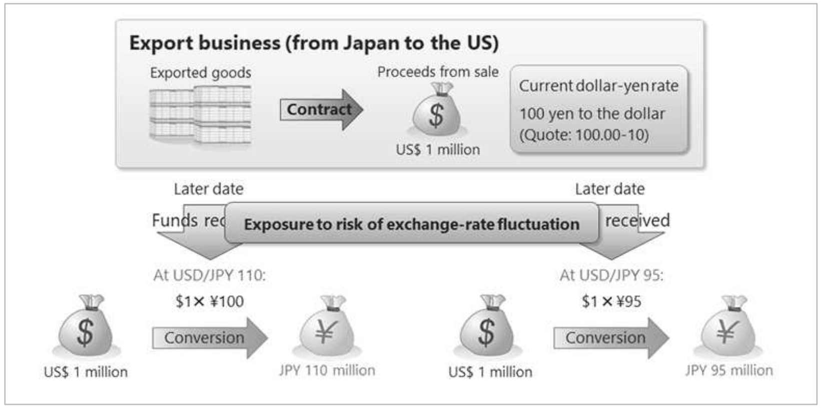
Assume, for instance, that we have contracted to export goods for which we will be paid one million US dollars.

The dollar-yen exchange rate is currently quoted at a bidding price of 100.00 and an asking price of 100.10.

If we now opt to convert our dollar-denominated proceeds to yen, we would do so at an exchange rate of 100 yen to the US dollar.

However, we won't actually receive the proceeds from the sale until some future point in time.





Of course, the exchange rate fluctuates daily and from moment to moment.

Therefore, if by the time the funds arrived the dollar-yen rate had moved to 110 yen to the US dollar, we would bring in 110 million yen.

Conversely, if by the time the funds arrived the dollar-yen rate had moved to 95 yen to the US dollar, we would bring in 95 million yen.

As you can see, the seller in this transaction is exposed to risk in that the yen value of the proceeds could increase or decrease as a result of exchange rate fluctuations. For a detailed explanation of "risk," please refer to the risk management course materials.

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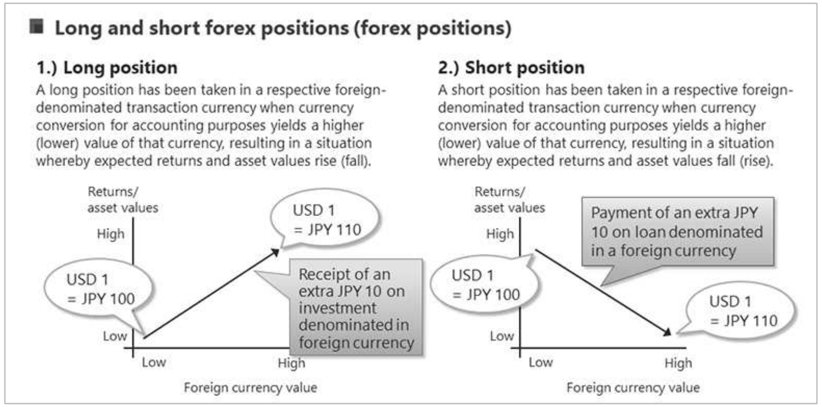

A long position exists when a foreign currency appreciates, or a domestic currency depreciates, thereby yielding an increase in earnings and asset values. A short position exists when a foreign currency appreciates, or a domestic currency depreciates, thereby yielding a decrease in returns and asset values.

Long and short forex positions (forex positions)

Type of business	Position to take (long or short) in terms of the respective currency
Buy-sell contract denominated in foreign currency	Sales contract: Long; Purchase contract: Short
Exchange contract involved in execution of sales contract	Forward contract to buy currency for imports : Long Forward contract to sell currency for exports : Short
Foreign currency holdings or deposits	Long
Lending denominated in a foreign currency	Long
Investment denominated in a foreign currency	Long
Borrowings denominated in a foreign currency	Short
Foreign currency interest on receipts/payments	Receipts: Long; Payments: Short
Dividends denominated in a foreign currency	Long
Unpaid debt denominated in a foreign currency	Long (Excl. allowance for doubtful receivables portion)

Next Page

This table lists examples of the types of business arrangements that require long positions and those that require short positions.

An export forward contract refers to a foreign exchange forward contract to convert foreign currency into yen in the future, while an import forward contract refers to a foreign exchange forward contract to convert yen into foreign currency in the future. For details on foreign exchange trading positions, please refer to the risk management course materials.

Please review the table, then click the button labeled "Next Page" to proceed.

As you can see, forward exchange contracts enable you to hedge risks; in other words, to avoid the risks arising from fluctuating currency values inherent in foreign currency-denominated business arrangements.

You will learn more about forward exchange contracts in the next section.

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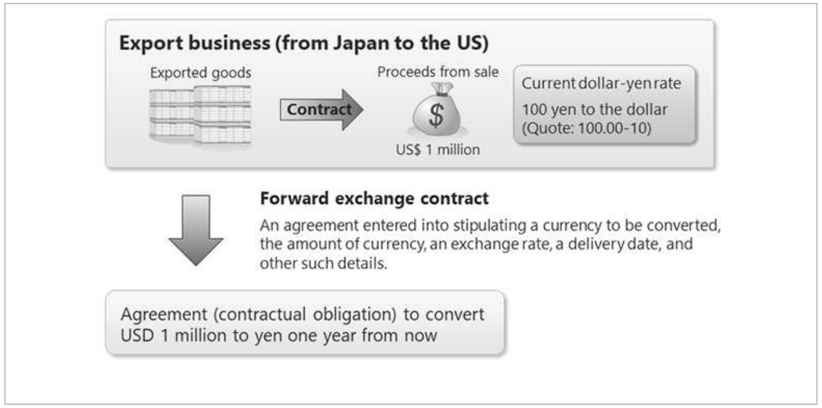
3.4) Forward Exchange Contracts

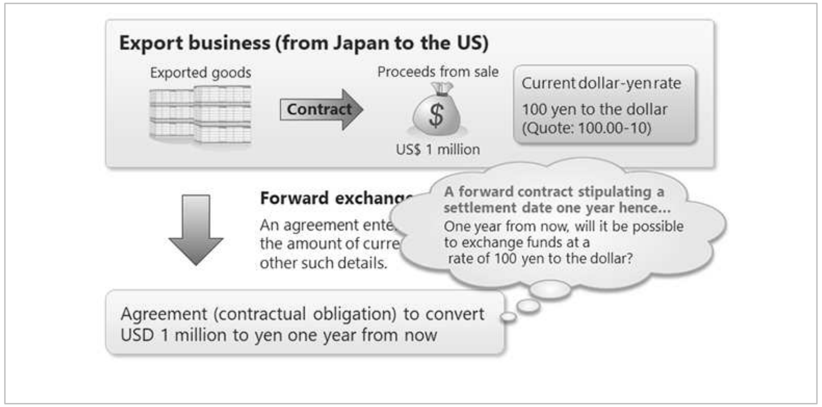
Next, you will learn about forward exchange contracts and how they provide a contractual means by which to avoid the forms of exchange rate risk covered previously in this chapter.

We will start off by once again looking at the hypothetical export business arrangement introduced in the previous section.



A forward exchange contract is an agreement entered into that stipulates a currency and an amount of currency to be converted at a future date, the exchange rate at which it is to be converted, the delivery date for the transaction, and other such terms.

In our hypothetical export trade, for instance, there is a contract promising to convert the one million dollars in sales proceeds to yen in one year's time.



If in this case the current exchange rate stands at 100 yen to the US dollar, what would be the conversion rate of a forward exchange contract stipulating settlement one year from now?

Before looking at an example of an actual forward exchange contract, you will first learn about the two types of foreign exchange markets-spot markets and swap markets.


■ Spot market = Foreign exchange market (in a narrow sense)

The exchange rate determined by the spot market is for delivery two business days later

For instance: In the spot market, conversion of USD 1 million to yen would require payment of USD 1 million two business days later

■ The swap market is a different market than the spot market

In the swap market, FX swaps are conducted involving the simultaneous purchase and sale of the same foreign currency at two different value dates.

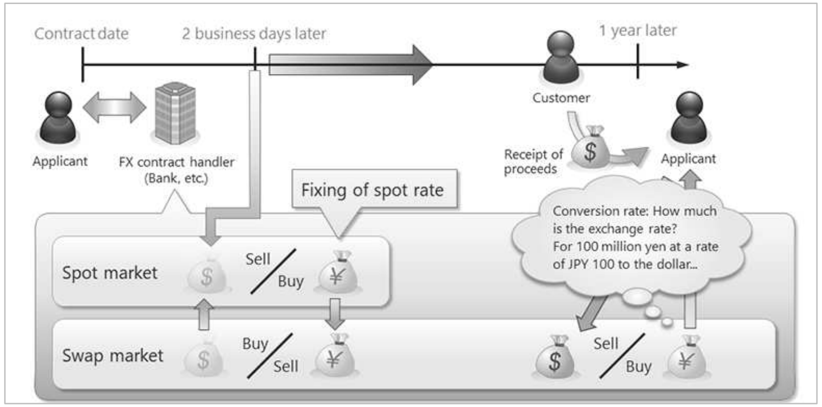
Assume, for instance, that deals are struck to spot purchase USD 1 million for yen, and to simultaneously resell the USD 1 million for yen one year later. By combining this transaction with the previously-mentioned spot transaction, the exporter can fix the amount of yen he will receive from the USD 1 million proceeds due in one year.

First, in the spot market, in most cases, settlement occurs two business days after a respective deal has been struck.

The material you have studied so far discusses matters in terms of the spot market.

In swap markets, on the other hand, foreign exchange swap transactions are struck by which the same parties agree to simultaneously purchase and sell the same amount of foreign currency on two different dates, one of which is the spot delivery date, and the other of which is a future value date.

Arrangements stipulated by forward exchange contracts can involve transactions in both the spot and swap markets.



Next, we will look at the process involved in forward exchange contracts, and at the same time look at the position of spot and swap markets in those transactions.

First, an applicant wishing to conclude a forward exchange contract transaction and a bank that will handle the transaction conclude the respective contract.

At that time, to lock in an exchange rate beforehand, an agreement is made to sell dollars and purchase yen on the spot market for settlement on a value date two business days after the deal is struck.

However, the FX contract applicant won't receive payment from the customer for another year, and so currently has no dollars to sell on the spot market.

Therefore, a swap market transaction needs to be conducted as part of this arrangement.

Accordingly, the bank sells yen and purchases dollars equal to the value of dollars to be sold on the spot market, and covers settlement of the spot transaction by selling dollars and purchasing yen. Meanwhile, the bank simultaneously strikes a deal to resell dollars, and repurchase yen, equal to the same amount at the future value date, thereby fixing the amount to be received from the customer on the date of settlement in one year's time.

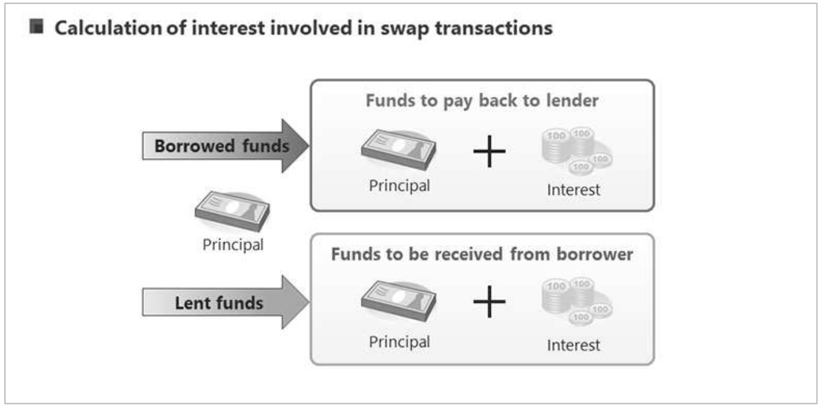
This process makes it possible to eliminate shortfalls when settling funds on the spot transaction value date, to receive proceeds from the export in a pre-determined amount of yen when we receive dollars from his customer one year after the forward exchange contract is struck.

You should now have a better understanding of how forward exchange contracts work.

However, although we have looked at how exchange rates are determined when the forward exchange contract is concluded, we have yet to look at the effect of exchange rates when the proceeds are received one year after the contract initiation date.

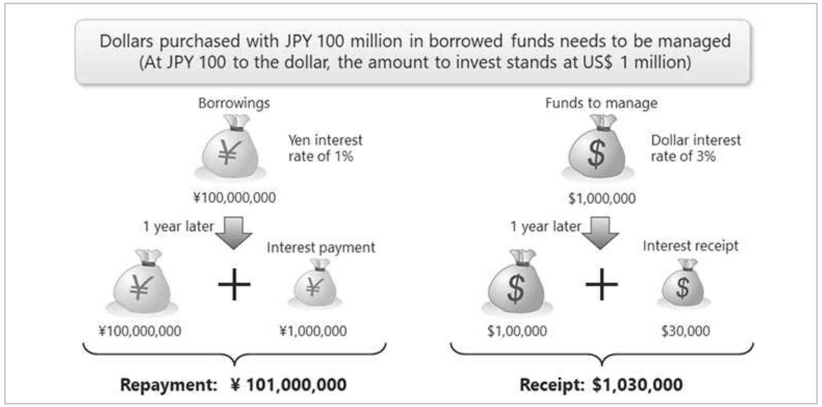
How much can the FX contract applicant collect when the proceeds are converted from dollars to yen?

To answer that question, you need to have an understanding of how interest rates involved in swap market transactions are calculated.



Interest always accrues whenever money is borrowed or lent.

Those who borrow funds must pay interest, and those who lend funds thereby receive interest payments.

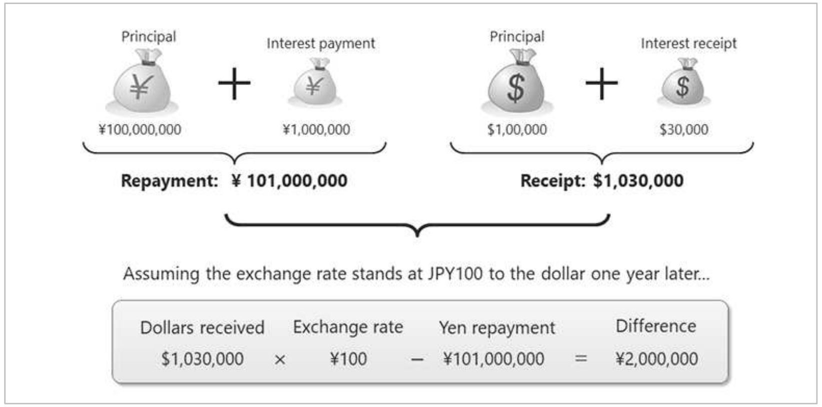


Let's assume, for instance, that we borrow one hundred million yen, then use those funds to purchase dollars.

Those dollars are then lent out to earn interest.

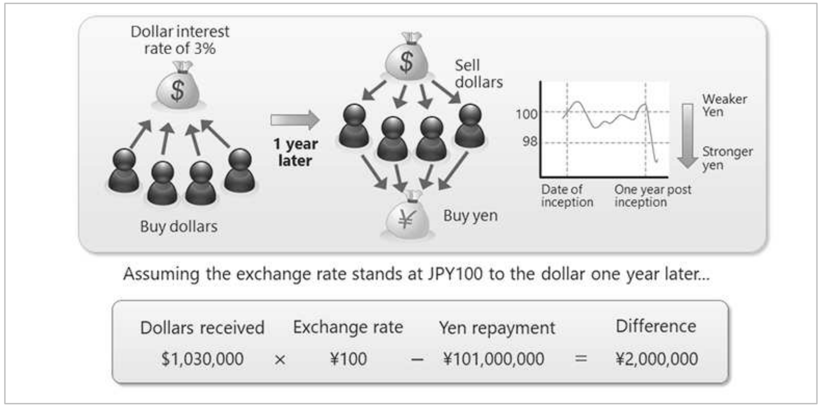
If, for instance, yen interest rates stand at 1%, we would be obligated to pay back 101 million yen total - the loan principal plus interest on the borrowings of one million yen.

On the other hand, if the dollar interest rate stood at 3%, we would receive one million and thirty thousand dollars - the amount lent plus 30 thousand dollars interest.



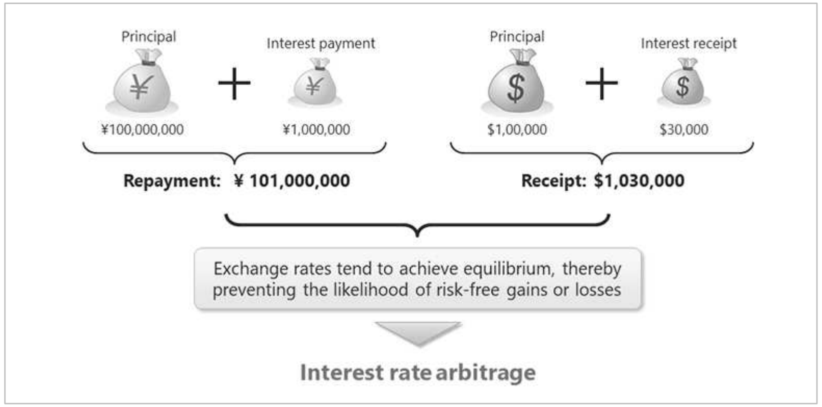
If the interest rate one year after entering into the contract were to remain at 100 yen to the dollar, we could get 103 million yen in exchange for our dollars.

Then, subtracting our loan repayment from that amount would leave us with a risk-free return of 2 million yen.



Indeed, if holding the foreign currency would yield such high interest rate returns, this deal would be a no-brainer.

However, let's assume that the yen were to strengthen one year after entering into the contract as dollar-selling and yen-buying results in increased demand for yen.



Finally, rates involved in forward exchange contracts are set based on two equal-value transactions.

Therefore, equilibrium is achieved thereby preventing the likelihood of risk-free gains or losses.

Market activity that achieves such equilibrium is referred to as “interest rate arbitrage.”

■ **Interest rate arbitrage**

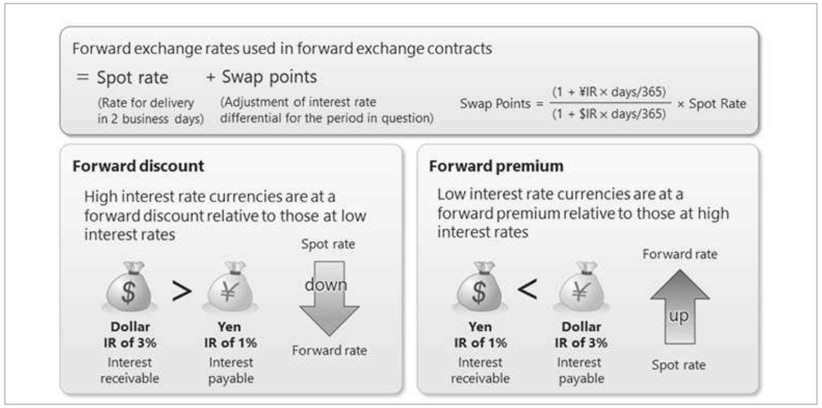
¥ Repayable	÷	$ Receivable	=	**Equilibrium rate**
¥101,000,000	÷	$1,030,000	=	USD/JPY98.06
Equilibrium rate	–	Spot rate	=	**Swap points**
USD/JPY ¥ 98.06	–	USD/JPY ¥ 100	=	–¥1.94

In this case, dividing the yen amount to be repaid after one year by the dollar amount to be received after one year yields an equilibrium exchange rate of 98.06 yen to the US dollar.

Moreover, the term “swap points” is used to refer to the difference between equilibrium exchange rate and the spot rate.

3.5) How Forward Exchange Rates are Calculated

Next, you will learn how forward exchange rates used in forward exchange contracts are calculated.



As you learned in the previous section, forward exchange rates are not determined based on predictions of future exchange rates, but rather are calculated by adding the day’s spot rate to swap points, which in turn represent a calculation of interest rate differentials.

When purchasing a forward position of a currency at a high interest rate, the interest generated from the foreign currency is greater than the interest which must be paid out. Therefore, that differential is reflected in the exchange rate, which is therefore lower than the spot exchange rate.

Accordingly, a difference between the two rates that is negative is referred to as a “forward discount.”

Conversely, when purchasing a forward position of a currency at a low interest rate, the interest generated from the foreign currency is less than that which must be paid out. Therefore, that differential is reflected in the exchange rate, which is therefore higher than the spot exchange rate.

Accordingly, a difference between the two rates that is positive is referred to as a “forward premium.”

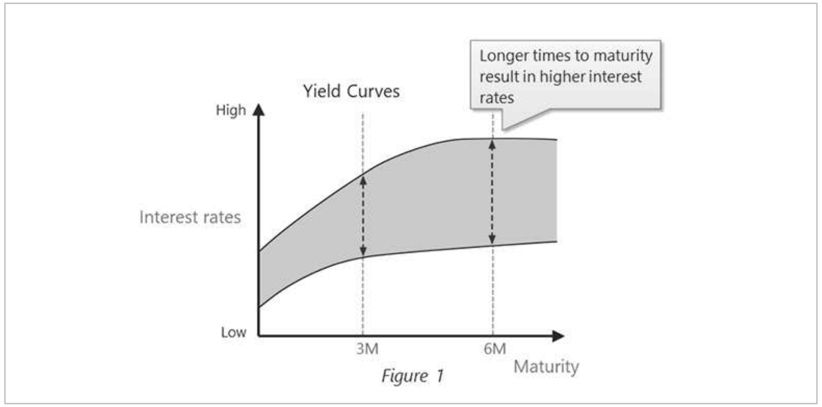


Figure 1

The yield curves shown in this graph indicate the relationship between interest rates and time to maturity of financial assets with differing durations remaining until repayment.

The horizontal axis indicates time to maturity, and the vertical axis indicates interest rate yields.

Generally, as shown by the upward-sloping yield curve, the longer the time to repayment the higher the interest rate.

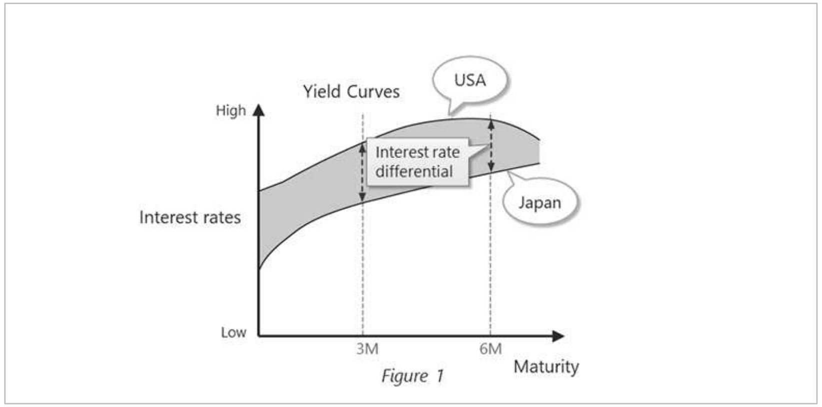


Figure 1

For instance, in this graph showing interest rate yields in the US and Japan,
the gap between the curves shows the difference in interest rates between the two countries for respective durations of time.

Accordingly, swap point values are derived from these interest rate differentials.

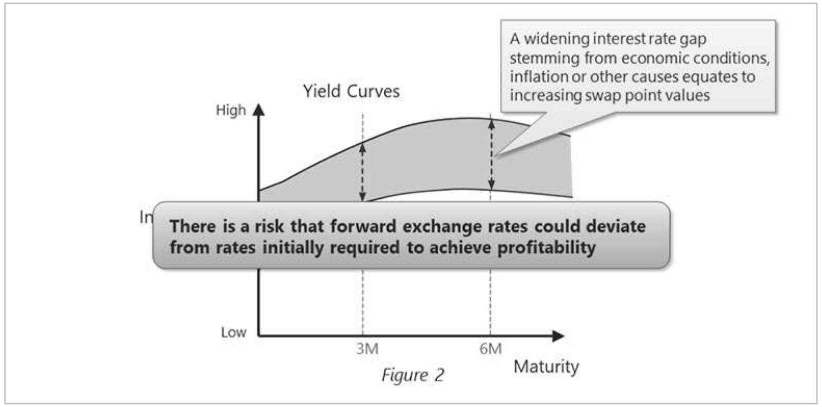


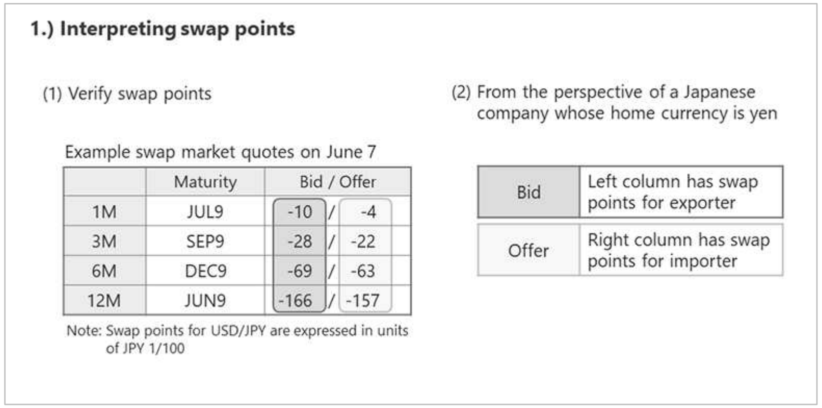
Figure 2

Now, assume that the yield curves initially depicted in Figure 1 change to resemble the yield curves shown in Figure 2 due to economic, inflationary and other trends.

In that case, corresponding swap point values also change to reflect the wider interest rate gap.

A widening interest rate gap between the two countries yields ever greater swap point values.

Accordingly, you need to be wary of the risk that interest rate fluctuations could lead to a situation in which forward exchange rates deviate from rates initially required to achieve profitability generated from the respective business arrangement.



1.) Interpreting swap points

(1) Verify swap points

Example swap market quotes on June 7

	Maturity	Bid / Offer
1M	JUL9	-10 / -4
3M	SEP9	-28 / -22
6M	DEC9	-69 / -63
12M	JUN9	-166 / -157

Note: Swap points for USD/JPY are expressed in units of JPY 1/100

(2) From the perspective of a Japanese company whose home currency is yen

Bid	Left column has swap points for exporter
Offer	Right column has swap points for importer

In the swap market, just as in the spot market, bids and offers (or asks) are displayed for swap points.

This example shows swap points for the USD/JPY currency pair. So, from the perspective of Japanese companies whose home currency is yen, those exporting would refer to the green-shaded bid column swap points, and those importing would refer to the yellow-shaded offer column swap points.

2.) Example forward exchange rate calculation

Settlement date, 3 months (Regular 3-month)

	Sell	Buy
Spot Rate	110.60	110.61
Swap Points	-28	-22
Forward rate	110.32	110.39

Example swap market quotes on June 7

	Maturity	Bid / Offer
1M	JUL9	-10 / -4
3M	SEP9	-28 / -22
6M	DEC9	-69 / -63
12M	JUN9	-166 / -157

Note: Swap points for USD/JPY are expressed in units of JPY 1/100

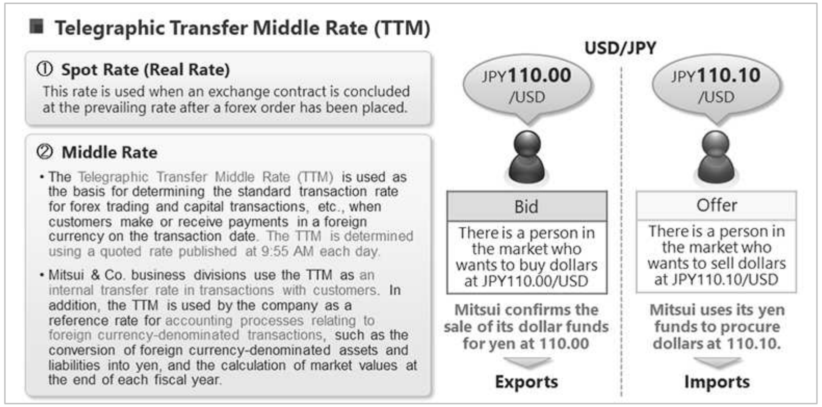
After verifying the swap points, the next step is to calculate the forward exchange rate.

To illustrate how this is done, we will calculate the forward exchange rate for an export transaction to sell dollars forward, with a settlement date in three months' time.

To do this, the spot rate of 110.60 yen to the dollar is added to the swap points of -28, or in other words -0.28 yen, thereby yielding a forward exchange rate of 110.32 yen to the dollar.

Likewise, to calculate the forward exchange rate for an import transaction to buy dollars forward, the spot rate of 110.61 yen to the dollar is added to the swap points of -22, or in other words -0.22 yen, thereby yielding a forward exchange rate of 110.39 yen to the dollar.

You should now have a better understanding of how forward exchange rates are calculated based on spot rates and swap points.

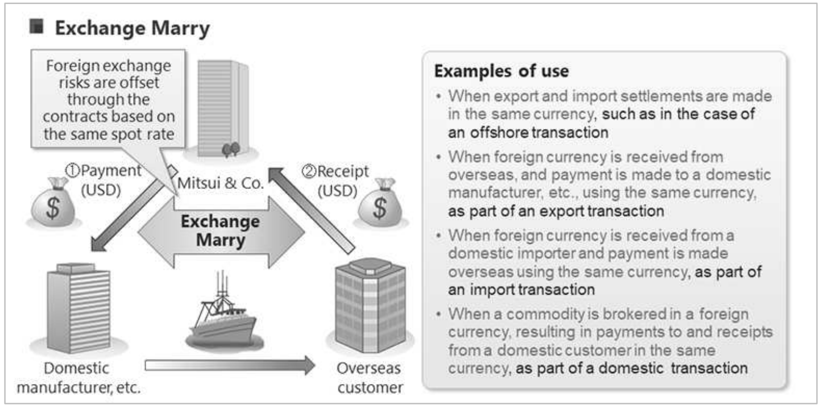


As we have seen, exchange rates fluctuate during the day.

In addition to spot rates, banks also set an applicable rate that is used as the basis for determining standard trading prices for trade and capital transactions involving foreign currency receipts and payments on the day concerned. This applicable rate is known as the "telegraphic transfer middle rate".

In the Japanese foreign exchange market, banks publish their telegraphic transfer middle rates at around 9:55 a.m.

Mitsui & Co. business units use the telegraphic transfer middle rate as an internal transfer rate in transactions with customers. Mitsui & Co. also uses it as the standard rate for translating foreign currency-denominated assets and liabilities into yen, determining book values at the end of each fiscal year, and other accounting processes for foreign exchange transactions, etc.



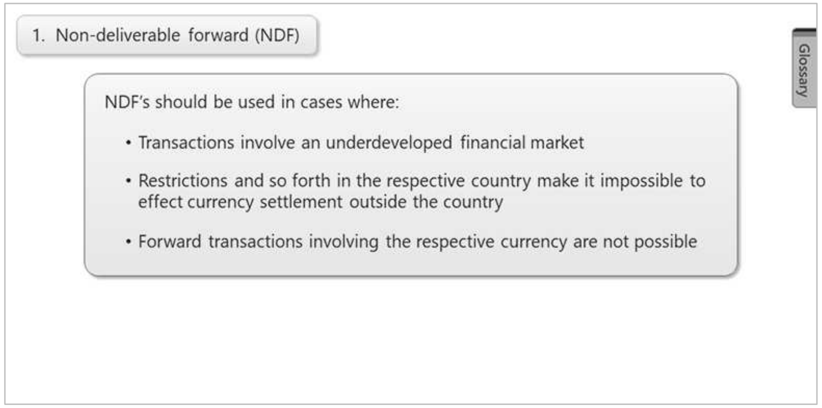
“Exchange marry” is a method used by units with foreign currency-denominated claims and liabilities. Based on the same spot rates according to the due dates for receipt or payment, the said units concluded both export and import forward exchange contracts. If export and import forward exchange contracts are concluded individually for each settlement, different spot rates would be used and as a result, exchange rate gains or losses could occur.

These foreign exchange risks can be mitigated by the said method. Specific situations in which this method is used include export and import settlements in the same currency for offshore transactions, etc., and payments to domestic manufacturers, etc., in the same currency when foreign currency funds are received from an overseas customer as part of an export transaction.

3.6) Other Means of Hedging Other Than Via Foreign Exchange Contracts

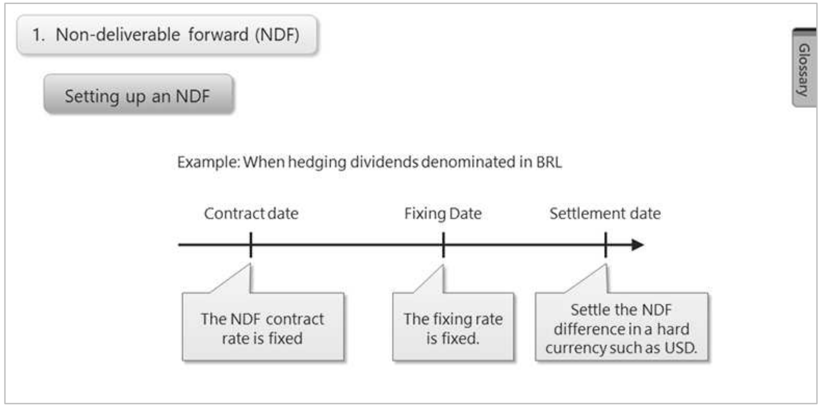
So far in this chapter you have learned about ways of effectively managing foreign exchange risk using forward exchange contract arrangements.

Next, you will learn about other ways of hedging such risk.



The first alternative means of hedging is the non-deliverable forward, or NDF.
NDFs are used when forward transactions involving a given currency are not possible, such as when the financial market for the given currency is underdeveloped, or when it impossible to settle the currency in a different country due to restrictions, etc.

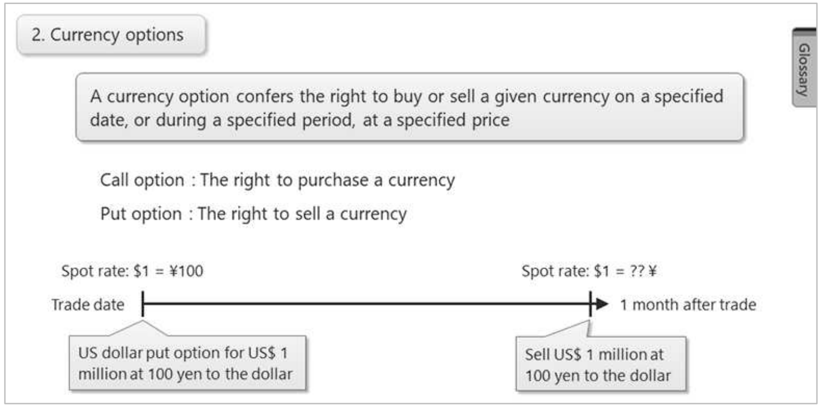
NDFs are mainly used when dealing with currencies of countries in Asia (such as the Taiwan Dollar, Korean Won, onshore Chinese Yuan, Philippine Peso, and Indonesian Rupiah) and Central and South America (such as the Brazilian Real).



Specifically, the difference between the forward exchange rate agreed upon on the contract date (the NDF contract rate) and the market prevailing rate determined on the settlement date (the NDF settlement rate) is settled in a hard currency (a currency that is highly reliable and stable in value), such as the U.S. dollar.

Although transactions involving NDFs do not involve settlement using the restricted currency, such transactions are effectively equivalent to forward transactions.

Accordingly, the term "non-deliverable" comes from the fact that the settlement of the transaction does not involve the target currency.



The second alternative means of hedging exchange rate risk that we will look at involves currency options.

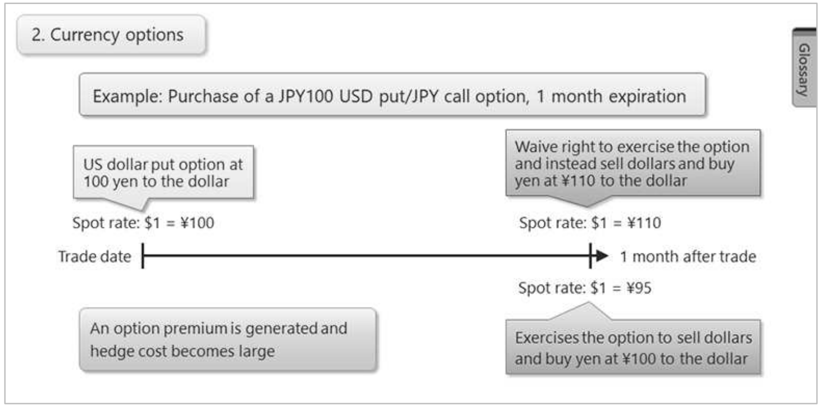
Currency options grant the holder the right to buy or sell a given currency on a specified date and at a specified price, or strike price.

A currency option conferring the right to buy a currency is referred to as a call option, and one conferring the right to sell a currency is referred to as a put option.

Accordingly, a "US dollar put" is a currency option that grants the holder the right to sell dollars.

In this case, the buyer of the put option is granted the right to sell one million US dollars in one month's time at an exchange rate of 100 yen to the dollar.

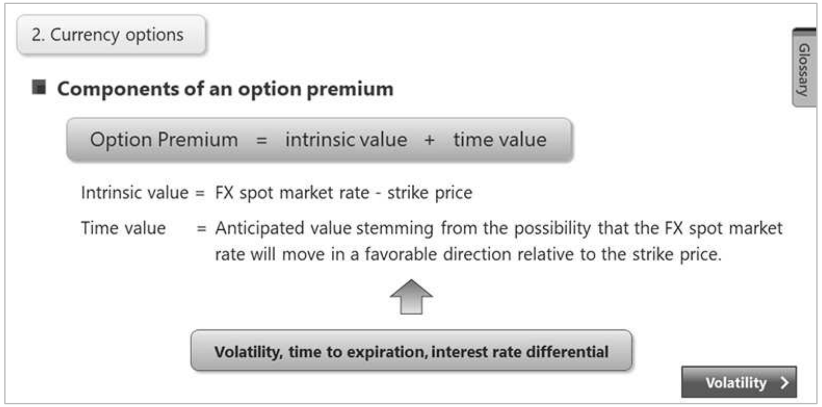
However, purchase of currency options involves the payment of an option premium.



For instance, assume someone purchases a dollar put option granting that person the right to sell dollars in one month's time at a rate of 100 yen to the US dollar. Then, if in one month's time the dollar appreciates above 100 yen to the dollar, the holder of the option would waive his right to sell dollars, and instead elect to sell dollars on the spot market.

If, on the other hand, the dollar were to depreciate below 100 yen to the US dollar, the holder of the option would exercise the option to sell dollars at a rate of 100 yen to the US dollar.

The option shown here enables the holder to take advantage of exchange rate fluctuations if the dollar should rise, while acting as a hedge if the dollar should fall in value. However, in this case, the option premium is generated, and hedge cost becomes larger than what would have been required in a forward exchange contract.



Next, we will look at the components that make up the option premium of a currency option. The option premium is made up of the option's intrinsic value and its time value.

The intrinsic value of the option is the prevailing foreign exchange spot market rate less the option's strike price.

The time value of the option refers to the anticipated value of the option that stems from the possibility that the foreign exchange spot market rate might move in a favorable direction relative to the strike price.

The cost of the option premium is also influenced by factors such as the volatility of the underlying currencies, the time left until expiration of the option, and the interest rate differential between the underlying currencies.

In this section, you have been introduced to three means of hedging against risk inherent in foreign exchange transactions.

Based on what you have learned, you should now consider ways that you can hedge against foreign exchange risk underlying transactions that you engage in.

[Glossary]

・Volatility (implied volatility)

In regard to currency, implied volatility is the estimated volatility of the currency's value. More specifically, it is the estimated annualized percentage change in the range of fluctuation in a spot rate, in terms of standard deviation, over a certain time frame.